

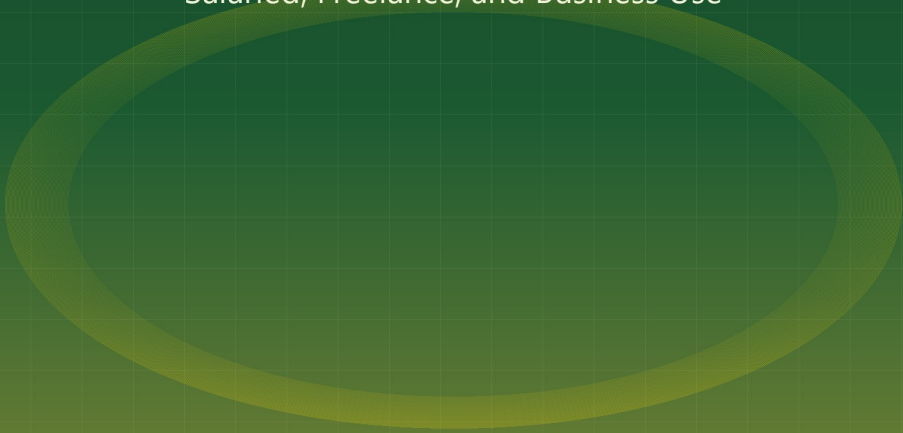


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2026 EDITION / INDIA TAX KIT

COMPLETE ITR, GST & TDS FILING KIT

The Indian Tax Compliance Master Bundle — ITR, GST, TDS,
Invoicing, Checklists, Calendar, and Ready-to-Use Templates for
Salaried, Freelance, and Business Use



SANJAY SHARMA

ADORISE DIGITAL / SHERIDAN, WY

INDIAN TAX COMPLIANCE MASTER BUNDLE

The Complete ITR, GST & TDS Filing Kit — 2026 Edition

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First Edition, 2026

"If you earn in India, you owe it to yourself to understand how the tax system actually works — not just the version your CA mutters at you on WhatsApp."

>

— from the introduction

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Part I — The Basics You Cannot Skip

1. How Indian Tax Really Works (In Plain English)

If you earn in India, three different taxes are likely to touch your life: Income Tax, GST, and TDS. Most professionals treat them as a black box that the CA handles. That works until the day the CA is on holiday, the GST portal is down, and you need to file your own return in 48 hours. This chapter is the plain-English version of the whole system — enough to know what you're doing, when you're doing it, and why.

The big picture

The Indian government collects revenue from three buckets:

- Direct taxes — paid by you, the person, on the income you earn. Income Tax is the biggest one. This is what your ITR declares.
- Indirect taxes — paid by the customer, but collected by you, the business. GST is the only big one for most small businesses. This is what your GST return declares.
- Withheld taxes — paid by your customer or your payer on your behalf, at the source, before the money reaches you. TDS is the big one. This is what your Form 16, Form 16A, and TDS certificate declare.

The three taxes are not the same. They live in different laws, on different portals, and are filed at different times. The job of this book is to make all three boring and predictable.

Who has to deal with which tax

- Salaried employee with one job and no side income: Income Tax (ITR-1) only. GST and TDS are not your headache; your employer handles them.

- Freelancer or consultant under ₹20 lakh turnover: Income Tax (ITR-3 or ITR-4) + GST registration is optional until you cross the threshold (currently ₹20 lakh for most states, ₹10 lakh for special-category states). TDS will be deducted by your clients; you have to claim it back via Form 26AS / AIS.
- Small business owner (services or goods): Income Tax + GST (mandatory above threshold) + TDS on salaries (if you have even one employee) + TDS on rent, professional fees, and contractor payments.
- CA, lawyer, or finance professional: Income Tax + GST + TDS on both sides (you deduct TDS when you pay others, and your clients deduct TDS when they pay you). Welcome to the fun.

The 4 numbers you must always know

Whatever your role, keep these four numbers in front of you every quarter:

- Your PAN. The 10-character alphanumeric ID. The single most important tax ID. You cannot file ITR, GST, or TDS without it.
- Your Aadhaar. The 12-digit biometric ID. Linked to PAN since 2019. Required for e-verification of ITR.
- Your TAN. (If applicable.) The 10-character alphanumeric ID for businesses that deduct TDS. Without TAN you cannot deposit TDS or file TDS returns.
- Your GSTIN. (If registered.) The 15-character GST Identification Number. Without it you cannot charge GST, claim ITC, or file returns.

The rest of this book is a deeper dive into each of these taxes, the filings they require, and the templates and checklists you need to do them right.

2. The Three Taxes That Touch Every Professional: ITR, GST, TDS

The three taxes look similar on paper — they're all governed by the Income Tax Act or the CGST Act, they all have forms, they all have due dates, and they all have penalties. But they live in different worlds. Confusing them is the most common mistake beginners make.

Income Tax (ITR) — the tax on what you earn

Income Tax is paid by individuals, HUFs, firms, companies, and any other entity that earns income in India. For most professionals, Income Tax is a once-a-year affair: file the return between April 1 and December 31 of the assessment year, pay any balance tax by March 31, and you're done until next year. The ITR form you choose (ITR-1 through ITR-7) depends on who you are and what kind of income you have. Chapter 4 covers the choice in detail.

The Income Tax portal is `incometax.gov.in`. The e-filing portal is the same. Login with PAN and password. Most returns are filed online via the JSON utility or the offline ITR preparation software.

GST — the tax on what you sell

GST is paid by businesses (and, optionally, by service providers crossing the threshold) on the value of goods or services they sell. The customer pays you the price + GST. You collect the GST, file a return, and remit the GST (minus the Input Tax Credit) to the government. The current GST rate slabs are 0%, 5%, 12%, 18%, and 28%.

The GST portal is `gst.gov.in`. You login with your GSTIN and password. Most small businesses file two monthly returns: GSTR-1 (outward supplies, by the 11th) and GSTR-3B (summary + payment, by the 20th). Annual return GSTR-9 is due by December 31 of the next financial year.

TDS — the tax your payer takes before you see the money

TDS is not a separate tax. It is Income Tax collected at the source, before the money reaches the recipient. If you pay a freelancer ₹50,000 for a service, you deduct 10% TDS (₹5,000), pay the freelancer ₹45,000, and deposit the ₹5,000 with the government via TDS challan. The freelancer claims the ₹5,000 as a tax credit in their ITR and either gets it back or adjusts it against their final tax liability.

The TDS portal is tin-nsdl.com (for challan payment) and incometax.gov.in (for return filing). TAN is required. Returns are quarterly: Q1 (April–June) by July 31, Q2 (July–Sept) by Oct 31, Q3 (Oct–Dec) by Jan 31, Q4 (Jan–March) by May 31.

How the three connect

The three taxes are deeply connected at the individual level:

- TDS deducted by your client is YOUR Income Tax paid in advance. You claim it in your ITR via Form 26AS / AIS.
- GST you paid on business expenses is your Input Tax Credit. You claim it in your GSTR-3B.
- Advance tax you pay quarterly (in ITR) is your Income Tax paid in advance, like TDS.

The single most common professional mistake is to think of these as three different problems. They are one problem. The money flows in one direction: from customer to you to government. The paperwork is three different forms of the same flow.

3. PAN, TAN, Aadhaar — The Three IDs That Run Your Tax Life

Before you can file anything, you need the right ID for the right job. This chapter is the short version.

PAN (Permanent Account Number)

A 10-character alphanumeric ID issued by the Income Tax Department. Format: AAAAAA9999A (5 letters, 4 digits, 1 letter). Required for:

- Filing ITR (mandatory)
- Opening a bank account
- Receiving payments above ₹50,000 in cash for property, jewellery, etc.
- Any transaction above ₹2 lakh (in some contexts)
- GST registration
- TDS deposit and return

Apply via incometax.gov.in or via UTI/Protean (the official PAN service provider). Cost: ₹107 (Indian address, physical PAN card) or ₹72 (without physical card, e-PAN only).

Aadhaar

A 12-digit biometric ID issued by UIDAI. Required for:

- e-Verification of ITR (since 2019)
- Linking with PAN (mandatory; non-linked PAN becomes inoperative)
- GST registration (as the KYC document for the authorised signatory)
- Many other KYC purposes (bank, mobile, demat)

Apply free at any Aadhaar Enrolment Centre, or via the mAadhaar app. Cost: free (with proof of identity and address).

TAN (Tax Deduction and Collection Account Number)

A 10-character alphanumeric ID issued by the Income Tax Department. Format: 4 letters + 5 digits + 1 letter (e.g., ABCD12345E). Required for:

- Every business or individual who deducts TDS (mandatory)
- Deposit of TDS via challan
- Filing of TDS returns

If you pay a freelancer, a contractor, rent above the threshold, professional fees, or salary, you need a TAN. Apply via incometax.gov.in or via UTI/Protean. Cost: ₹65 (online, digital TAN allotment).

The linking dance

Three linkages matter:

- PAN Aadhaar: mandatory. If not linked, your PAN becomes inoperative. Link via the Income Tax e-filing portal.
- PAN of the business GSTIN: when you register for GST, the PAN of the business (or the individual proprietor) is the primary key. The GSTIN is derived from it.
- PAN of the deductor TAN: when you apply for TAN, the PAN of the entity (or individual) is the primary key. The TAN is linked to it.

If you have all three IDs in place, you can do 95% of the work in this book. The remaining 5% needs the DSC (Digital Signature Certificate) or Aadhaar e-sign, which is free for most small filers.

4. Picking the Right ITR Form for Your Situation

There are 7 ITR forms as of FY 2025-26. Picking the wrong one is a common error. The right form depends on three things: (a) who you are, (b) what kind of income you have, and (c) whether you want to claim the new tax regime or the old one.

Quick map of the 7 ITR forms

- ITR-1 (SAHAJ): For resident individuals with income from salary, one house property, other sources (interest, family pension), and total income up to ₹50 lakh. NOT for business income, capital gains, or foreign assets.
- ITR-2: For individuals and HUFs with income from salary, house property, capital gains, other sources, and foreign assets. NOT for business or profession income.
- ITR-3: For individuals and HUFs with income from business or profession. The form for freelancers, consultants, and small business owners.
- ITR-4 (SUGAM): For individuals, HUFs, and firms (other than LLP) with income from business or profession under the presumptive taxation scheme (Section 44AD, 44ADA, 44AE). Turnover up to ₹2 crore (business) or ₹75 lakh (professional).
- ITR-5: For entities other than individuals, HUFs, companies, and persons claiming Section 11 exemption. Used by LLPs, AOPs, BOIs, and trusts.
- ITR-6: For companies (other than companies claiming Section 11 exemption).
- ITR-7: For persons (including companies) required to file return under Section 139(4A), 139(4B), 139(4C), or 139(4D) — typically charitable trusts, political parties, and similar entities.

The most common form for small business owners: ITR-3

If you are a freelancer, consultant, or small business owner with turnover above the presumptive limit, ITR-3 is your form. It is the longest and the most detailed. It allows you to:

- Declare salary, house property, capital gains, and other sources.
- Declare business income under regular accounting (P&L + Balance Sheet).
- Claim depreciation, expenses, and brought-forward losses.

The easiest form for small business owners: ITR-4 (SUGAM)

If your turnover is below ₹2 crore (business) or ₹75 lakh (professional) AND you do not want to maintain detailed books, ITR-4 (SUGAM) is your form. It is the presumptive scheme:

- Business: 8% of turnover (6% for digital receipts) is your deemed income under Section 44AD.
- Professional: 50% of gross receipts is your deemed income under Section 44ADA.
- No need to maintain books or get them audited (in most cases).
- File the form, pay the tax, done.

The catch: if your actual income is higher than the presumptive figure, you still pay tax on the presumptive figure. If your actual income is lower, you still pay tax on the presumptive figure. The presumptive scheme is most useful when your actual margin is above 8% (business) or 50% (professional).

New regime vs old regime

Since FY 2024-25, the new tax regime is the default for most individual taxpayers. The new regime has lower slab rates but fewer deductions. The old regime has higher slab rates but allows most exemptions and deductions (80C, 80D, HRA, LTA, etc.). The right answer depends on your deductions. Use the worksheet in Chapter 9 to decide.

For FY 2025-26 (AY 2026-27), the new regime slabs are:

- 0 – ₹4 lakh: nil
- ₹4 – ₹8 lakh: 5%
- ₹8 – ₹12 lakh: 10%
- ₹12 – ₹16 lakh: 15%
- ₹16 – ₹20 lakh: 20%
- ₹20 – ₹24 lakh: 25%
- Above ₹24 lakh: 30%

Plus 4% cess on tax. Plus surcharge on income above ₹50 lakh.

For most salaried employees with limited deductions, the new regime is better. For most business owners with significant 80C/80D deductions, the old regime is often better. The only honest answer: run the numbers for both.

Part II — ITR Filing Master Kit

5. The Premium ITR Filing Guide

This is the full, step-by-step guide to filing your ITR for FY 2025-26 (AY 2026-27). Skip the YouTube videos. Read this once, and you'll never need them again.

Step 1: Gather your documents

Before you open the portal, get these in front of you:

- PAN card
- Aadhaar (linked to PAN)
- Form 16 (from your employer, if salaried)
- Form 16A / TDS certificates (from clients who deducted TDS)
- Form 26AS / AIS (download from the Income Tax portal)
- Bank statements for all accounts (April 1 to March 31)
- Interest certificates from banks (FD interest, savings interest)
- Capital gains statement (from your broker, if you traded)
- Home loan statement (principal + interest, if applicable)
- Rent receipts (if HRA)
- Health insurance premium receipts (80D)
- ELSS / PPF / EPF / NSC / LIC premium receipts (80C)
- Tuition fee receipts (80E)
- Donation receipts (80G)
- Business P&L and Balance Sheet (if ITR-3 or 4)
- GST returns (if applicable)

Step 2: Download Form 26AS and AIS

Form 26AS is your annual tax statement — every TDS deducted, every advance tax paid, every refund issued, all in one place. AIS (Annual Information Statement) is the newer, more detailed version. Download both:

- Login to incometax.gov.in
- Go to e-File Income Tax Returns View Form 26AS / AIS
- Cross-check every entry against your own records

If Form 26AS shows a TDS deduction that you don't have a Form 16A for, follow up with the deductor before filing. They have to issue the certificate; you have to claim the credit.

Step 3: Compute your total income

Add up:

- Salary income (after standard deduction of ₹75,000 under new regime, or ₹50,000 under old regime)
- Income from house property (rent received, minus standard deduction 30%, minus home loan interest)
- Income from business or profession (P&L for ITR-3, or presumptive figure for ITR-4)
- Income from capital gains (STCG + LTCG from shares, mutual funds, property)
- Income from other sources (FD interest, savings interest, family pension)

The total of all these is your Gross Total Income (GTI).

Step 4: Claim deductions under Chapter VI-A

Subtract from your GTI:

- 80C: up to ₹1,50,000 (ELSS, PPF, EPF, NSC, LIC, home loan principal, tuition fees)
- 80CCD(1B): up to ₹50,000 (NPS contribution)
- 80D: up to ₹1,00,000 (health insurance premium; limit varies by age)
- 80E: no limit (education loan interest for 8 years)
- 80G: 50% or 100% of donation amount (depending on the institution)
- 80TTA: up to ₹10,000 (interest on savings account, for individuals below 60)
- 80TTB: up to ₹50,000 (interest on deposits, for senior citizens)

The result is your Total Taxable Income.

Step 5: Compute tax on the slabs

Apply the slab rates to your Total Taxable Income. Add 4% Health & Education Cess. Add surcharge if your income exceeds ₹50 lakh. Subtract:

- TDS already paid (from Form 26AS)
- Advance tax already paid
- Self-assessment tax already paid (if any)

The result is your Net Tax Payable (or Refund Due, if negative).

Step 6: Pay any balance tax

If you have a Net Tax Payable, pay it via:

- Challan 280 (online, through [incometax.gov.in](https://www.incometax.gov.in) e-Pay Tax)
- The net banking / debit card / UPI options available
- Keep the BSR code and challan serial number for filing

Step 7: File the return online

- Login to incometax.gov.in e-File Income Tax Returns
- Select the Assessment Year (2026-27 for FY 2025-26)
- Select the ITR form (ITR-1, 2, 3, or 4)
- Fill in the JSON / use the online utility
- Upload the JSON file
- Verify the return

Step 8: e-Verify the return

After upload, e-verify within 30 days via one of:

- Aadhaar OTP (free, instant, easiest)
- Net banking through the e-filing portal
- DSC (Digital Signature Certificate) — paid

If you don't e-verify within 30 days, the return is treated as not filed. The deadline is critical.

Step 9: Track the refund

If you have a Refund Due, it will be processed by the CPC (Centralized Processing Centre) in Bangalore and credited to your pre-validated bank account within 20–45 days of verification. Track via:

- incometax.gov.in My Account Refunds
- The refund status SMS you'll receive

Common slips

- Filing after the deadline (December 31 for most individuals).
- Not e-verifying in time.
- Mismatch between Form 26AS and your own TDS claim.

- Wrong bank account number (refund fails).
- Forgetting to claim the standard deduction on salary.

The checklist in Chapter 6 will catch all of these.

6. Step-by-Step ITR Filing Checklist

Print this. Tick every box. File.

Phase 1: Documents (T-30 days)

- ☐ PAN card and Aadhaar (linked)
- ☐ Form 16 (if salaried)
- ☐ Form 16A / TDS certificates (from clients)
- ☐ Form 26AS downloaded
- ☐ AIS downloaded and cross-checked
- ☐ Bank statements (all accounts, April 1 to March 31)
- ☐ Interest certificates (FD, savings)
- ☐ Capital gains statement (if applicable)
- ☐ Home loan statement (if applicable)
- ☐ Rent receipts (if HRA)
- ☐ Health insurance premium receipts (80D)
- ☐ ELSS / PPF / EPF / NSC / LIC / home loan principal receipts (80C)
- ☐ Tuition fee receipts (80E)
- ☐ Donation receipts (80G)
- ☐ Business P&L and Balance Sheet (if ITR-3/4)
- ☐ GST returns (if applicable)
- ☐ Last year's ITR acknowledgement (for reference)

Phase 2: Computation (T-15 days)

- ☐ Gross Total Income computed
- ☐ Chapter VI-A deductions claimed correctly

- ☐ Total Taxable Income computed
- ☐ Tax under both old and new regimes computed
- ☐ Better regime selected
- ☐ TDS from Form 26AS reconciled
- ☐ Advance tax payments reconciled
- ☐ Net tax payable (or refund) computed
- ☐ Bank account for refund pre-validated on the portal

Phase 3: Filing (T-7 days)

- ☐ ITR form selected correctly (ITR-1, 2, 3, or 4)
- ☐ JSON prepared (or filled in the online utility)
- ☐ Return uploaded
- ☐ Acknowledgement number noted

Phase 4: Verification (T-day)

- ☐ Return e-verified via Aadhaar OTP (or net banking / DSC)
- ☐ Verification confirmation email received
- ☐ ITR-V (verification receipt) downloaded and saved

Phase 5: Post-filing (T+30 days)

- ☐ Refund status checked (if applicable)
- ☐ Bank account confirmed for refund credit
- ☐ Tax planning notes for next year started

7. Excel Tax Tracker (How to Use the Spreadsheet)

The Excel Tax Tracker in this kit is a 5-sheet workbook. This chapter explains each sheet and how to use it.

Sheet 1: Income

Columns: Date, Source, Type (Salary / Freelance / Business / Rent / Interest / Capital Gains), Gross Amount, TDS Deducted, Net Received, Notes.

Use it for every inflow during the year. One row per transaction. Don't wait for year-end — log it the day the money lands in your account. The discipline of daily logging is the difference between a 30-minute ITR filing in July and a 14-hour scramble in December.

Sheet 2: Expenses (deductible under business / profession)

Columns: Date, Vendor, Category (Software / Hosting / Travel / Office / Phone / Internet / Professional Fees / Marketing / Other), GST Paid, Net Amount, Invoice Reference, Notes.

This is the sheet that pays you back. Every legitimate business expense is a deduction from your gross income, which lowers your tax. Log it the day you pay it. Save the invoice. Reconcile with your bank statement at the end of each month.

Sheet 3: TDS tracking

Columns: Quarter, Deductor Name, Deductor TAN, Section (192, 194A, 194C, 194I, 194J, etc.), Gross Amount, TDS Rate, TDS Amount, Date of Deduction, Date of Deposit, Form 16A Received (Y/N), Notes.

This is the sheet that catches the "I forgot to claim the TDS" error. Run a VLOOKUP against Form 26AS at year-end. Any row where the deductor deposited TDS but you didn't get a Form 16A is a row to

follow up.

Sheet 4: Advance tax schedule

Columns: Quarter, Due Date, Estimated Income, Estimated Tax, Tax Paid, BSR Code, Challan Serial, Date of Payment, Balance Due, Notes.

Advance tax is due in 4 instalments: 15% by June 15, 45% by Sept 15, 75% by Dec 15, 100% by March 15. Failing to pay advance tax attracts interest under Section 234B and 234C. This sheet tracks every instalment.

Sheet 5: Year-end summary

Columns: Gross Total Income (auto-sum from Sheet 1), Deductions (auto-sum from Sheet 2), Total Taxable Income, Tax on Slabs, Cess (4%), Surcharge (if any), TDS Paid (auto-sum from Sheet 3), Advance Tax Paid (auto-sum from Sheet 4), Net Payable / Refund.

This is the dashboard. Open it on April 1. The number at the bottom is your net tax payable or refund for the year. If the number is positive, pay it by March 31. If negative, claim it in your ITR.

How to start

If you are starting fresh today, the workbook is pre-filled with example data. Delete the example rows. Add your real data. Save a backup every week. The discipline is the asset.

8. Document Checklist for ITR Filing

This is the printable version of the document list. Keep it in your tax folder.

Identity and KYC

- ☐ PAN card
- ☐ Aadhaar card (linked to PAN)
- ☐ Passport (if claiming DTAA benefits or foreign income)
- ☐ Voter ID / Driving Licence (backup ID for KYC)

Salary income

- ☐ Form 16 (Part A + Part B)
- ☐ Salary slips (12 months)
- ☐ Form 12BB (employer's declaration of rent for HRA)
- ☐ Form 10E (for arrears, if any)
- ☐ Perquisite details (if any, from employer)

Business / Profession income

- ☐ P&L Account
- ☐ Balance Sheet
- ☐ Audit report (if turnover above threshold)
- ☐ Books of accounts (cash book, ledger, journals)
- ☐ Depreciation schedule
- ☐ Stock statement (if applicable)

House property

- ☐ Rent agreement
- ☐ Rent receipts (12 months, if HRA claim)

- ☐ Home loan sanction letter
- ☐ Home loan interest certificate
- ☐ Home loan principal certificate (for 80C)
- ☐ Property tax receipts
- ☐ Co-owner details (if joint property)

Capital gains

- ☐ Broker capital gains statement
- ☐ Mutual fund capital gains statement
- ☐ Property sale deed
- ☐ Property purchase deed (for cost of acquisition)
- ☐ Improvement cost receipts

Other sources

- ☐ FD interest certificates (all banks)
- ☐ Savings account interest certificate
- ☐ Dividend receipts
- ☐ Lottery / game show winnings (if any)
- ☐ Family pension details (if any)

Deductions (Chapter VI-A)

- ☐ 80C: ELSS / PPF / EPF / NSC / LIC / home loan principal / tuition fees
- ☐ 80CCD(1B): NPS contribution receipt
- ☐ 80D: Health insurance premium receipts (self, family, parents)
- ☐ 80E: Education loan interest certificate
- ☐ 80G: Donation receipts (with PAN of donee institution)
- ☐ 80TTA / 80TTB: Interest certificates

- ☐ 80U: Disability certificate (if applicable)

TDS / Advance tax

- ☐ Form 26AS (download from portal)
- ☐ AIS (download from portal)
- ☐ Form 16A / TDS certificates
- ☐ Advance tax challans (4 quarters)
- ☐ Self-assessment tax challans (if any)

Bank

- ☐ Bank statements (all accounts, full year)
- ☐ Cancelled cheque (for refund account verification)
- ☐ Pre-validated bank account on the portal

Foreign income / assets (if applicable)

- ☐ Foreign bank account statements
- ☐ Schedule FA details (foreign assets)
- ☐ DTAA certificate (if claiming treaty benefit)

9. Income Tax Deduction Cheat Sheet (Old vs New Regime)

This is the at-a-glance comparison. Print it. Tape it to the wall above your desk.

Deduction	Section	Old Regime	New Regime	Cap
Standard Deduction (Salary)	16(ia)	₹50,000	₹75,000	—
HRA Exemption	10(13A)	Yes	No	—
LTA	10(5)	Yes	No	—
80C (PPF, ELSS, EPF, LIC, etc.)	80C	Yes	No	₹1,50,000
80CCD(1B) (NPS)	80CCD(1B)	Yes	Yes	₹50,000
80D (Health Insurance)	80D	Yes	Yes	₹25,000 / ₹50,000 / ₹1,00,000
80E (Education Loan)	80E	Yes	Yes	No cap
80G (Donations)	80G	Yes	Yes (only to certain funds)	Varies
80TTA (Savings Interest)	80TTA	Yes	Yes	₹10,000
80TTB (Senior Citizens Deposit Interest)	80TTB	Yes	Yes	₹50,000
80U (Disability)	80U	Yes	Yes	₹75,000 / ₹1,25,000
Home Loan Interest (Self-occupied)	24(b)	Yes	Yes	₹2,00,000

Deduction	Section	Old Regime	New Regime	Cap
Home Loan Interest (Let-out)	24(b)	Yes	Yes	No cap
Standard Deduction (Family Pension)	16(iia)	Yes	Yes	₹15,000 / ₹25,000

The new regime rebate

Under the new regime, if your Total Taxable Income is up to ₹12 lakh, you pay zero tax (Section 87A rebate). The income can be up to ₹12.75 lakh after the standard deduction and still result in zero tax.

Which regime to pick

The honest answer: run the numbers for both. The decision tool in the Excel Tax Tracker does this for you. The default rules of thumb:

- If your total deductions (80C + 80D + HRA + others) are below ₹3.5 lakh: new regime usually wins.
- If your total deductions are above ₹5 lakh: old regime usually wins.
- If your deductions are between ₹3.5–5 lakh: run the numbers. The decision is genuinely close.

10. Common ITR Filing Mistakes Checklist

These are the 12 mistakes the CPC catches most often. Avoid them.

- [] Filing the wrong ITR form. Most common. Double-check using the map in Chapter 4.
- [] Mismatched PAN / Aadhaar. Link them before filing.
- [] Not claiming TDS from Form 26AS. If your client deducted TDS but you didn't claim it, you paid tax twice. Claim it.
- [] Wrong bank account for refund. Pre-validate the account on the portal. The account must be in your name.
- [] Filing after the December 31 deadline. Late filing fee: ₹1,000 (income up to ₹5 lakh) or ₹5,000 (income above ₹5 lakh).
- [] Not e-verifying in time. 30-day window. Aadhaar OTP is the fastest.
- [] Forgetting the standard deduction on salary. Both old and new regimes allow it. Don't miss it.
- [] Wrong old-vs-new regime selection. Review Chapter 9. Run both.
- [] Not reporting interest on savings / FD. Banks deduct TDS only on interest above ₹40,000 (₹50,000 for seniors). The rest is taxable. Declare it.
- [] Not reporting dividend income. Dividends are fully taxable. Declare them under "Income from Other Sources."
- [] Declaring business income on Form ITR-1. ITR-1 is for salary + house property + other sources only. Use ITR-3 or ITR-4 for business.
- [] Not reporting foreign assets / income. Schedule FA is mandatory if you have foreign assets above the threshold. Non-disclosure attracts heavy penalty.

11. Income Tax Calendar (Month-by-Month)

The 2026-27 tax calendar. Every important date.

April 2026

- April 1: New Financial Year starts.
- April 30: Form 16 issued by employer (if salaried).
- April 30: Q4 TDS return (Q4 of FY 2025-26) due.

May 2026

- May 31: Issue of TDS certificate in Form 16A (for Q4 of FY 2025-26).

June 2026

- June 15: Advance tax instalment 1 (15% of estimated tax) due.
- June 30: Q1 TDS return (April–June 2026) due.

July 2026

- July 15: Q1 TCS return (April–June 2026) due.
- July 31: Q1 TDS return (final deadline with late fee).
- July 31: Issue of TDS certificate in Form 16A (for Q1 of FY 2026-27).

August 2026

- August 15: Independence Day (no filing deadline).

September 2026

- September 15: Advance tax instalment 2 (45% of estimated tax) due.
- September 30: Q2 TDS return (July–Sept 2026) due.

October 2026

- October 31: Q2 TDS return (final deadline with late fee).
- October 31: Issue of TDS certificate in Form 16A (for Q2 of FY 2026-27).

November 2026

- November 30: Q3 advance tax preparation month.

December 2026

- December 15: Advance tax instalment 3 (75% of estimated tax) due.
- December 31: ITR filing deadline for most individuals.
- December 31: Belated / revised return window closes (for AY 2026-27).

January 2027

- January 31: Q3 TDS return (Oct–Dec 2026) due.
- January 31: Issue of TDS certificate in Form 16A (for Q3 of FY 2026-27).

February 2027

- February 28: Last month to file revised return for AY 2025-26.

March 2027

- March 15: Advance tax instalment 4 (100% of estimated tax) due.
- March 31: End of Financial Year 2026-27.
- March 31: Last date to deposit Q4 TDS without interest.

Part III — GST Filing Kit

12. GST Fundamentals (What GST Actually Is)

GST is the Goods and Services Tax — a single, destination-based indirect tax that replaced a maze of central and state taxes (Excise, Service Tax, VAT, CST, etc.) on July 1, 2017. The idea is simple: one tax, one portal, one return. The reality is a little more complicated, but the principle is right.

Why GST exists

Before GST, a product manufactured in Tamil Nadu and sold in Delhi was taxed multiple times: Excise at manufacture, VAT at each state border, CST at inter-state sale. The tax cascaded. GST eliminates the cascade by allowing the seller to claim credit for the tax paid at the previous stage (Input Tax Credit, or ITC). The result: the final consumer pays tax only on the value added at each stage.

The four GST laws

There are four GST laws, not one:

- CGST Act: Central GST. The Centre's share of intra-state tax.
- SGST Act: State GST. The State's share of intra-state tax.
- IGST Act: Integrated GST. The Centre's tax on inter-state transactions.
- UTGST Act: Union Territory GST. The Centre's tax in UTs without a legislature.

For an intra-state sale of ₹1,00,000 with 18% GST, you collect ₹9,000 CGST + ₹9,000 SGST = ₹18,000. For an inter-state sale of the same value, you collect ₹18,000 IGST (goes entirely to the Centre). The treatment in your return is different; the revenue is the same.

The five GST slabs

- 0% — essentials (fresh fruits, vegetables, milk, eggs, curd, bread, salt, bindi, sari, educational services, healthcare).
- 5% — essentials with some processing (sugar, tea, coffee, spices, edible oil, medicine, transport (railways/flights), small restaurants).
- 12% — processed food, computers, mobile phones (post-GST), business class air tickets.
- 18% — the default slab. Most services, capital goods, industrial inputs, FMCG, restaurants (AC), IT services.
- 28% — sin goods and luxuries. Cement, paint, automobiles, tobacco, aerated drinks, 5-star hotel accommodation.

Some goods also attract a compensation cess on top of 28% (e.g., automobiles, tobacco). The cess goes to a separate fund that compensates states for the first 5 years of GST (now extended to 2026).

What GST applies to

GST applies to:

- The sale of goods (within India)
- The supply of services (within India)
- Imports (collected at customs as IGST)

GST does NOT apply to:

- Pure alcohol for human consumption (state excise applies)
- Electricity (state electricity duty applies)
- Real estate (stamp duty + property tax apply; some changes in 2025)
- Petroleum products (in transition; state VAT still applies)

13. GST Registration Overview

GST registration is the act of getting your GSTIN (15-character GST Identification Number) so you can legally charge GST, claim ITC, and file returns.

Who must register

Registration is mandatory if:

- Your aggregate turnover exceeds ₹20 lakh in a financial year (₹10 lakh in special-category states: NE states, Himachal, Uttarakhand, etc.).
- You are an inter-state supplier (any turnover).
- You are a casual taxable person (e.g., a stall at a trade fair).
- You are a non-resident taxable person.
- You are an agent of a supplier.
- You are an input service distributor.
- You are required to deduct TDS (under Section 51 of the CGST Act).
- You are an e-commerce operator.
- You are supplying goods or services on behalf of another registered taxpayer.

Who does NOT need to register

- Purely exempt supply businesses (e.g., fresh vegetable vendors, small farmers).
- Businesses with turnover below the threshold.
- Non-taxable online service providers (e.g., small freelancers supplying only to non-taxable / non-registered persons — but this is changing).

The 15-character GSTIN

The format: 22AAAAAC0000A1Z5

- 2 digits: state code (22 = Maharashtra, 33 = Tamil Nadu, etc.)
- 10 characters: PAN of the business
- 1 digit: entity number (1 for first registration, 2 for second, etc.)
- 1 character: 'Z' (default)
- 1 character: checksum

The registration process

- Go to gst.gov.in in Services Registration New Registration.
- Part A: Enter PAN, mobile number, email. Verify via OTP.
- Part B: Fill in business details — name, constitution, principal place of business, additional places, promoters, authorised signatory.
- Upload documents: PAN, Aadhaar (of promoter), proof of business registration, address proof of place of business, bank statement/cancelled cheque, photograph.
- Verify with Aadhaar e-sign or DSC.
- Application is processed by the GST officer. The officer may ask for clarification (15-day window).
- GSTIN is issued within 3–7 working days (usually) or up to 30 days (in contested cases).

Documents required for registration

For a proprietorship:

- PAN of the proprietor
- Aadhaar of the proprietor

- Proof of business (any one: Udyam Registration, Shop & Establishment Act license, etc.)
- Address proof of place of business (electricity bill, rent agreement, property tax receipt)
- Bank account proof (cancelled cheque, bank statement)
- Photograph (JPEG, max 100 KB)
- Authorised signatory declaration

For an LLP / Company:

- PAN of the entity
- Certificate of Incorporation
- LLP Agreement / MOA + AOA
- PAN + Aadhaar of all partners / directors
- Board resolution authorising the signatory
- Address proof of registered office
- Bank account proof

Common registration mistakes

- Wrong state code (use the state of the principal place of business).
- Mismatch in name on PAN vs. business name.
- Not filing the first return within 30 days of registration (registration can be cancelled).
- Not declaring all additional places of business.

14. GST Return Types (GSTR-1, 3B, 9, and the Rest)

There are 13 GST return types in total. Most small businesses deal with only 3 of them. This chapter covers the ones you need.

The 3 returns every small business files

GSTR-1: Statement of outward supplies

- What you file: details of every sale you made in the month (B2B invoices with GSTIN, B2C invoices above ₹2.5 lakh, credit/debit notes, advances, exports).
- When you file: by the 11th of the next month (e.g., April return by May 11).
- How: online via the GST portal, or via offline utility + upload, or via a GST Suvidha Provider (GSP).

GSTR-3B: Summary return + tax payment

- What you file: summary of your outward and inward supplies for the month, ITC claimed, tax liability, and tax paid.
- When you file: by the 20th of the next month.
- How: online, with payment via the GST portal (electronic credit ledger, electronic cash ledger, electronic liability ledger).

GSTR-9: Annual return

- What you file: consolidated summary of all GSTR-1 and GSTR-3B filed during the financial year, with reconciliation to your books.
- When you file: by December 31 of the next financial year (e.g., for FY 2025-26, by December 31, 2026).
- How: online, via the GST portal. Turnover above ₹2 crore requires a self-certified reconciliation statement (GSTR-9C).

Other returns you may need

- GSTR-2A / 2B: Auto-populated statement of inward supplies. View-only. Don't file; it populates from your suppliers' GSTR-1.
- GSTR-4: For composition scheme taxpayers (annual, by April 30 of the next FY).
- GSTR-5: For non-resident taxable persons (monthly).
- GSTR-5A: For OIDAR service providers.
- GSTR-6: For input service distributors (monthly).
- GSTR-7: For TDS deductors under GST (TDS return, monthly).
- GSTR-8: For e-commerce operators (TCS return, monthly).
- GSTR-10: Final return on cancellation of registration.
- GSTR-11: For UIN holders (refund claim).

The monthly flow

For a small business on a monthly return cycle:

- 1st–11th of month N+1: File GSTR-1 for month N.
- 12th–20th of month N+1: Reconcile GSTR-2B. File GSTR-3B for month N. Pay the tax.
- Quarterly: Review the GSTIN health, reconcile with books.

If you are on the QRMP (Quarterly Return Monthly Payment) scheme, you file GSTR-1 quarterly but pay tax monthly via PMT-06 (by the 25th).

Common return-filing mistakes

- GSTR-1 and GSTR-3B mismatch. GSTR-3B should reconcile with GSTR-1. If they differ, the difference shows up in your annual return and triggers notices.

- Wrong ITC claim. ITC can be claimed only on eligible invoices uploaded by your suppliers. If your supplier hasn't filed, you don't get the credit. Reconcile every month.
- Late filing. Late fee: ₹50/day (₹20/day for nil return) under CGST + same under SGST = ₹100/day (₹40/day for nil). Cap: ₹10,000 (₹5,000 for nil).
- Wrong HSN code. Use 4-digit HSN for turnover up to ₹5 crore, 6-digit for above. Wrong HSN = wrong tax.

15. Input Tax Credit (ITC) — The Most Misunderstood Concept

ITC is the right to reduce the GST you pay on outputs by the GST you paid on inputs. It is the heart of GST. It is also the most common source of errors and notices.

The four conditions for valid ITC

You can claim ITC only if ALL four conditions are met:

- You possess a tax invoice (or debit note) issued by a registered supplier.
- You have received the goods or services. (In some cases, just the invoice is enough; in others, receipt is required.)
- The supplier has uploaded the invoice in their GSTR-1, and it appears in your GSTR-2B.
- You have actually paid the tax to the government (either via cash ledger or by utilising ITC).

If any one of these is missing, your ITC claim is at risk.

Blocked credits (Section 17(5))

You CANNOT claim ITC on:

- Motor vehicles (except for specified uses: transport of goods, training, leasing, etc.)
- Food and beverages, outdoor catering, beauty treatment, health services, cosmetic surgery
- Membership of clubs, health and fitness centres
- Rent-a-cab, health insurance, life insurance (except when required by law or as employee benefit)
- Travel benefits to employees (leave travel concession)

- Works contract for immovable property (except for input services for further supply)
- Construction of immovable property (on your own account)
- Goods lost, stolen, destroyed, written off, or disposed of by way of gift or free samples
- Tax paid on reverse charge (in some specific cases)

Reversal of ITC

You must reverse ITC in these cases:

- Non-payment to supplier within 180 days: If you haven't paid the supplier (including the tax component) within 180 days from the invoice date, you must reverse the ITC and pay interest.
- Non-business use: If you use inputs for both business and non-business, you must reverse the proportionate ITC.
- Supplier defaults: If the supplier doesn't file GSTR-1 or doesn't pay the tax, the ITC is at risk. Reverse it; claim it back when the supplier files.

Reconciliation

Every month, reconcile:

- Your Purchase Register (from your books)
- Your GSTR-2B (auto-populated from suppliers' GSTR-1)
- The difference = ITC you CANNOT claim yet (because the supplier hasn't filed)

Use the Excel ITC Reconciliation sheet in this kit. Discrepancies are normal in month 1. They should reduce to zero by month 6 of disciplined supplier follow-up.

The 2B vs 2A debate

GSTR-2A is the auto-populated statement (real-time). GSTR-2B is the static statement (generated on the 14th of the next month, used for filing). Always file based on GSTR-2B. Use GSTR-2A for follow-up with non-filing suppliers.

Common ITC errors

- Claiming ITC on blocked credits (e.g., GST on a car used for personal use). Reversed on audit; interest + penalty applies.
- Claiming ITC on invoices where the supplier hasn't filed GSTR-1. You'll get a notice from GSTN. Reverse the credit, claim it back when the supplier files.
- Claiming ITC on RCM (Reverse Charge Mechanism) without paying the tax. You must first pay the tax under RCM, then claim ITC in the same return.
- Not maintaining the ITC documentation for 6 years. Records must be kept for 72 months from the due date of filing of the annual return.

16. GST Filing Workflow (Step by Step)

This is the full workflow for filing a monthly GSTR-1 and GSTR-3B in 2026.

Step 1: Compile your sales data (by the 5th of next month)

- Pull all B2B invoices issued during the month (with GSTIN of buyer).
- Pull all B2C invoices above ₹2.5 lakh (without GSTIN, but with place of supply + state).
- Pull all credit notes and debit notes issued.
- Pull all advances received for which GST was paid.
- Pull all exports and deemed exports.
- Pull all reverse charge supplies (purchases on which YOU pay GST, not the supplier).

Step 2: Reconcile with your books (by the 8th)

- Match the compiled sales with your Sales Register.
- Match with your bank statement (look for the GST collected).
- Identify and correct any mismatches.

Step 3: File GSTR-1 (by the 11th)

- Login to `gst.gov.in` Returns GSTR-1.
- Either fill in the online form OR upload a JSON file (recommended for >100 invoices/month).
- Review the summary (taxable value, IGST, CGST, SGST, cess).
- Submit. The return is filed. A confirmation message is shown with the ARN (Application Reference Number).

- Download the GSTR-1 summary for your records.

Step 4: Check GSTR-2B (by the 14th)

- Login to `gst.gov.in` Returns GSTR-2B.
- View the auto-populated statement of your inward supplies (your purchases from registered suppliers).
- For every invoice in your Purchase Register NOT in GSTR-2B: contact the supplier and ask them to file their GSTR-1.
- For every invoice in GSTR-2B NOT in your Purchase Register: investigate (it may be a fake invoice, a duplicate, or a data entry error).

Step 5: Compute net tax (by the 18th)

Net tax payable = Output GST (collected on sales) - Input Tax Credit (eligible, from GSTR-2B)

If output > ITC: you pay the difference in cash. If output < ITC: the excess ITC is carried forward to next month (you don't get a refund unless you meet the conditions).

Step 6: File GSTR-3B (by the 20th)

- Login to `gst.gov.in` Returns GSTR-3B.
- Auto-populated with GSTR-1 data.
- Fill in eligible ITC (from GSTR-2B) under the 4 heads: imports, inputs, input services, and ISD.
- Fill in reverse charge liability (if any).
- Fill in tax payable (after ITC).
- Pay the tax via the electronic credit ledger (use ITC) and electronic cash ledger (use cash).
- Submit. ARN is generated. Download the GSTR-3B for your records.

Step 7: Make the payment (same day as filing)

- Use electronic credit ledger first (your accumulated ITC).
- Then use electronic cash ledger (cash, via netbanking / UPI / NEFT).
- Keep the CIN (Challan Identification Number) for your records.
- The payment is not complete until the CIN is generated. A return without payment is invalid.

Step 8: File the annual return (by December 31 of next FY)

- GSTR-9 is the annual return.
- Pull all GSTR-1 and GSTR-3B filed during the year.
- Reconcile with your books (audited P&L and Balance Sheet).
- File the return. If turnover > ₹2 crore, also file GSTR-9C (reconciliation statement).

Common workflow errors

- Filing GSTR-1 after the 11th. Late fee applies.
- Filing GSTR-3B before GSTR-1. Your ITC will be miscalculated.
- Paying tax but not filing return. You still owe a late fee on the return.
- Filing return but not paying tax. The return is treated as not filed.
- Mismatch between GSTR-1 and GSTR-3B. Triggers an annual reconciliation notice.

17. Invoice Essentials (What Makes an Invoice GST-Compliant)

A GST-compliant invoice is not just any invoice. The format and the contents are specified in the CGST Rules. This chapter is the short version.

Mandatory fields on a tax invoice

A tax invoice (for B2B or for B2C above ₹200) must have:

- "Tax Invoice" written prominently at the top (or "Bill of Supply" if you are a composition dealer or the supply is exempt).
- Name, address, and GSTIN of the supplier.
- A consecutive, unique serial number (not exceeding 16 characters; can contain letters, numbers, hyphens, slashes; must be generated sequentially).
- Date of issue.
- Name and address of the recipient. For B2B, also GSTIN of the recipient.
- HSN code (4-digit for turnover up to ₹5 crore, 6-digit above).
- Description of goods or services.
- Quantity (for goods) or unit (for services).
- Unit value (excluding tax).
- Discount, if any (must be shown on the invoice, not as a credit note).
- Total value (quantity × unit value – discount).
- Tax rate (CGST, SGST, IGST, cess — separately).
- Tax amount (in INR, for each tax head).
- Total invoice value (including tax).

- Place of supply (for inter-state supplies, mandatory; for intra-state, optional but recommended).
- Signature or digital signature of the supplier or authorised representative.

For invoices below ₹200 (B2C), only fields 1, 2, 3, 4, 5, 7, 11, 12, 13, 14 are mandatory.

Payment voucher (for advances)

If you receive an advance for a supply, issue a payment voucher with:

- "Payment Voucher" prominently at the top
- Name, address, GSTIN of the supplier
- Name of the recipient
- Description of the supply
- Amount received
- Rate and amount of tax
- Date of receipt
- Signature

The GST is paid on the advance in the month of receipt. The final invoice is issued later, with the tax adjusted.

Credit note / Debit note

If you need to reduce the value of a supply (return, discount, correction), issue a credit note. If you need to increase the value, issue a debit note. The format mirrors a tax invoice, with "Credit Note" or "Debit Note" at the top, and a reference to the original invoice.

Credit note and debit note numbers are also in a consecutive series (separate from invoice series).

Reverse charge invoice

If you are the recipient and liable to pay GST under reverse charge (e.g., on legal services, GTA services, renting from an unregistered person), the invoice is issued by YOU (the recipient) to yourself (the supplier). It must have:

- "Tax Invoice under Reverse Charge" at the top
- Name, address, GSTIN of the supplier (as recipient)
- Your name, address, GSTIN (as the supplier issuing the invoice)
- Description, HSN, quantity, value
- Tax rate and amount (paid by you in cash, not ITC)

The tax is paid by you via the cash ledger in GSTR-3B. The corresponding ITC can be claimed in the same return (if the supply is otherwise eligible).

Common invoice errors

- Serial number breaks (e.g., jumped from 100 to 105). The portal flags the gap.
- GSTIN of recipient wrong. The invoice is treated as B2C; ITC is at risk for the recipient.
- Wrong HSN code. Tax rate is wrong. Triggers a notice.
- No place of supply for inter-state supply. Recipient can't claim IGST as ITC.
- No signature. Invoice is not valid.
- Late invoice (after the time of supply). The GST becomes payable in the original month, not the invoice month.

18. GST Return Due Dates

The full calendar of GST due dates for FY 2026-27.

Return	Periodicity	Due Date	Late Fee
GSTR-1 (outward)	Monthly	11th of next month	₹100/day (CGST+SGST)
GSTR-1 (outward)	Quarterly (QRMP)	13th of next month	Same
GSTR-3B (summary + payment)	Monthly	20th of next month	Same; max ₹10,000
GSTR-3B (QRMP)	Quarterly	22nd / 24th of next month (state-wise)	Same
PMT-06 (QRMP monthly tax payment)	Monthly	25th of next month	–
GSTR-5 (non-resident)	Monthly	20th of next month	–
GSTR-6 (ISD)	Monthly	13th of next month	–
GSTR-7 (TDS)	Monthly	10th of next month	–
GSTR-8 (TCS by e-commerce)	Monthly	10th of next month	–
GSTR-9 (annual return)	Annual	31st December of next FY	₹100/day; max 0.25% of turnover
GSTR-9C (reconciliation)	Annual	31st December of next FY	–
GSTR-4 (composition)	Annual	30th April of next FY	–
GSTR-10 (final return)	One-time	Within 3 months of cancellation	–

Quarterly Return Monthly Payment (QRMP) scheme

If your turnover is up to ₹5 crore, you can opt for QRMP. Under QRMP:

- GSTR-1 is filed quarterly (by 13th of next month).

- GSTR-3B is filed quarterly.
- Tax is paid monthly via PMT-06 (by 25th of next month) — based on an estimated 35% of the previous quarter's liability.

QRMP reduces compliance burden but doesn't reduce the actual tax liability.

19. GST Compliance Best Practices

These are the habits of GST-compliant businesses. Adopt all of them; pass every audit.

1. Reconcile every month

Reconcile your GSTR-2B with your Purchase Register on the 14th of every month. The reconciliation should be a 1-page dashboard:

- Total purchases as per books
- Total purchases as per GSTR-2B
- Difference (and reasons)

If the difference is above 5%, investigate.

2. Reconcile GSTR-1 with GSTR-3B every month

The turnover declared in GSTR-1 should equal the turnover declared in GSTR-3B. The tax declared in GSTR-1 should equal the tax declared in GSTR-3B. Any mismatch is a red flag for the annual return.

3. Use the right HSN code

HSN codes are hierarchical:

- Chapters (2 digits)
- Headings (4 digits)
- Subheadings (6 digits)
- Items (8 digits)

For GST, use 4 digits for turnover up to ₹5 crore, 6 digits for turnover above. Use the GST HSN search tool on gst.gov.in or the ICEGATE portal for customs HSN.

4. Issue invoices in time

The time of supply is the earliest of:

- Date of issue of invoice
- Date of receipt of payment
- Date of provision of service (if invoice issued within the prescribed time)

For goods, the invoice must be issued at the time of removal or delivery. For services, within 30 days (or 45 days in some cases) of supply. Late invoice = tax payable in the original month, not the invoice month.

5. Maintain documents for 6 years

Keep all GST records for 6 years from the due date of filing of the annual return for that year. This includes:

- All tax invoices (issued and received)
- Credit notes and debit notes
- Payment vouchers
- Delivery challans
- Stock statements
- Reconciliation statements
- E-way bills

6. Use e-way bills correctly

For the movement of goods above ₹50,000 in value, an e-way bill is mandatory. Generate it on ewaybill.nic.in (or the GSTN portal) before the movement starts. Carry the e-way bill with the goods. E-way bills are valid for:

- Up to 200 km: 1 day

- 200–400 km: 3 days (effectively 1 day per 200 km, with the last slab up to 7 days for >400 km)

7. Respond to notices within 15 days

If you get a notice from GSTN, ASMT, or the state tax department, respond within 15 working days. Most notices have a 15-day window; missing the window triggers adverse inference.

8. File nil returns even if no business

If you have a GSTIN and you had zero business in a month, still file the nil return by the 20th (GSTR-3B) and 11th (GSTR-1). A non-filed return is a "defaulter" on the portal and can lead to registration cancellation after 6 months of non-filing.

20. Common GST Mistakes Checklist

The 14 mistakes the GST department catches most often. Avoid them.

- [] Filing GSTR-1 after the 11th. Late fee: ₹50/day under CGST + same under SGST.
- [] Filing GSTR-3B after the 20th. Same late fee.
- [] Mismatch between GSTR-1 and GSTR-3B. Always reconcile.
- [] Wrong HSN code. Use the right chapter-heading for your goods or service.
- [] Wrong tax rate. Some goods and services are taxed at 12% (not 18%) or 28% (not 18%). Verify the rate.
- [] Wrong place of supply. Inter-state supply = IGST. Intra-state = CGST + SGST.
- [] Not paying tax under RCM. If you are the recipient liable to pay under reverse charge, pay the tax yourself.
- [] Claiming ITC on blocked credits. Don't claim ITC on food, club memberships, motor vehicles for personal use, etc.
- [] Claiming ITC without supplier filing GSTR-1. The credit will be reversed on audit.
- [] Wrong invoice serial number. Consecutive, unique, no gaps.
- [] Not filing the annual return (GSTR-9). Due by December 31 of next FY. Late fee: ₹100/day, max 0.25% of turnover.
- [] Not generating e-way bills. Mandatory for goods above ₹50,000.
- [] Cash balance issue. If you pay the tax in cash but have insufficient balance, the return is not considered filed. Top up the cash ledger.

- [] Composition scheme violation. If you opted for composition, you cannot collect tax from customers, cannot make inter-state supplies, cannot claim ITC.

21. GST Frequently Asked Questions

Q: I started a business this month. When do I need to register for GST? A: As soon as you start a business that will cross the threshold (₹20 lakh in most states, ₹10 lakh in special-category states), you must register. If you are an inter-state supplier, register immediately. If you are below the threshold but want to claim ITC (e.g., on capital goods), voluntary registration is allowed.

Q: My turnover is below ₹20 lakh. Should I still register? A: Voluntary registration has benefits: you can charge GST and claim ITC on inputs, which makes you look credible to B2B clients. It also has costs: monthly compliance. For most small service providers below ₹20 lakh, voluntary registration is a break-even proposition. For goods sellers, it's often a loss-maker (you'll pay GST on inputs without being able to recover it on outputs).

Q: Can I cancel my GST registration? A: Yes, if:

- Your business has been discontinued.
- You are a composition taxpayer and your turnover is below the threshold.
- Your business has been transferred to another person.
- You have changed your constitution (e.g., from proprietorship to LLP) and need a fresh registration.

Apply via the GST portal Services Registration Application for Cancellation. The GST officer can cancel suo motu if you don't file returns for 6 consecutive months (or 3 quarters for QRMP).

Q: What's the difference between a regular taxpayer and a composition taxpayer? A: A regular taxpayer charges GST on every sale, files monthly returns, and claims ITC on inputs. A composition taxpayer pays a flat percentage of turnover (1% for manufacturers, 5% for service providers, 6% for restaurants) as tax, doesn't charge GST on invoices, doesn't claim ITC, and files only GSTR-4 (annual).

Composition is for very small businesses; the savings on tax are usually offset by the loss of ITC.

Q: I have a question about a specific transaction. Where do I ask? A: Use the GSTN helpdesk (gst.gov.in Help Grievance), or the GST AAR (Authority for Advance Ruling) in your state. The AAR ruling is binding on the applicant and the department. For pending disputes, the appellate authority is the Commissioner (Appeals), then the Appellate Tribunal, then the High Court.

Q: What if I made a mistake in a past return? A: File a rectification. If the error is in GSTR-1 or GSTR-3B, you can amend the return in the next return period. If the error is in the annual return (GSTR-9), you can file a revised annual return.

Q: I received an invoice with a wrong GSTIN. What do I do? A: Don't claim ITC on it. The invoice is invalid. Ask the supplier to issue a correct invoice.

Q: I have a customer who is not registered under GST. Can I still charge them GST? A: Yes, you must charge GST to every B2C customer if you are a regular taxpayer and the supply is taxable. The fact that the customer is unregistered doesn't change your obligation to collect tax.

Q: How do I claim a refund? A: File a refund application via the GST portal Services Refunds Application for Refund. Common reasons: exports (with payment of tax), inverted duty structure (tax on inputs > tax on outputs), excess cash balance, provisional assessment, etc. Refunds are processed within 60 days.

Part IV — TDS Filing Kit

22. Understanding TDS (Why the Government Takes Tax First)

TDS stands for Tax Deducted at Source. It is not a separate tax — it is a method of collecting Income Tax. The payer deducts the tax at the time of payment, deposits it with the government on behalf of the recipient, and the recipient gets credit for the tax in their ITR.

Why TDS exists

Three reasons:

- Spreading the tax collection across the year. Instead of one large payment at year-end, the government collects tax as and when income is generated. This reduces the "April 1 panic" of lump-sum tax.
- Widening the tax net. Many small transactions (₹500 paid to a vendor, ₹5,000 paid to a freelancer) would not be reported if the recipient alone had to declare them. TDS brings every payer into the tax system.
- Tracking cash flows. TDS is the government's way of seeing who paid whom, when, and how much. It is the most powerful compliance tool in the Income Tax arsenal.

How TDS works in practice

Suppose you are a company paying a freelancer ₹50,000 for a design project, and the relevant TDS rate is 10% under Section 194J.

- You pay the freelancer: ₹45,000 (net of TDS).
- You deduct as TDS: ₹5,000.
- You deposit ₹5,000 with the government (via TDS challan 281).
- You file the TDS return (24Q or 26Q) for the quarter, mentioning the deduction.

- The freelancer gets a TDS certificate (Form 16A) from you.
- The freelancer claims the ₹5,000 as a tax credit in their ITR (via Form 26AS).
- The net effect: the freelancer's tax liability is reduced by ₹5,000 (or refunded, if the total tax is less than the TDS).

The flip side

TDS is a cash-flow issue for the recipient. If your client deducts 10% TDS from every invoice, you receive 90% of the billed amount and have to wait until ITR filing to get the tax back. This is a working-capital hit. Plan for it.

For the deductor, TDS is a compliance burden. If you forget to deduct, deduct less, or deduct late, you pay the tax out of your own pocket (and interest + penalty). The deductor is liable for the tax, not the deductee.

23. When TDS Applies (and When It Doesn't)

TDS applies to specific payments. Not every payment attracts TDS. The Income Tax Act specifies which payments attract TDS, the rates, and the thresholds.

The simple rule of thumb

If you are paying for:

- Salary Section 192, TDS as per the slab.
- Interest (other than on securities) Section 193.
- Rent Section 194I (10% for plant & machinery / equipment; 10% for land & building).
- Commission / brokerage Section 194H (5%).
- Professional / technical fees Section 194J (10% for professionals like CA, lawyer, doctor, engineer; 2% for technical services for non-individuals).
- Contractor payments Section 194C (1% for individual/HUF; 2% for others).
- Lottery, game show, horse race winnings Section 194B / 194BA / 194BB (30%).
- Insurance commission Section 194D (5% for individuals, 10% for others).
- NSS, NSC, etc. interest Section 193.
- Dividend Section 194 (10%, since 2020; over ₹5,000 in a year).
- Royalty Section 194J (10%).

When TDS does NOT apply

- Salary below the basic exemption limit. No TDS on a low-income employee.
- Rent below ₹2,40,000 per year. No TDS on rent below ₹20,000/month.
- Payment to a HUF / individual for non-professional / non-technical services below the threshold. Check the specific section.
- Payment to a non-resident. TDS under Section 195 applies (rates as per DTAA or the Act, whichever is lower).
- Payment that is exempt from tax. e.g., payment to a government body for a service, payment of agricultural income.

The threshold concept

TDS is only deducted when the payment to a single person in a single financial year exceeds the threshold. Examples:

- Section 194C: ₹30,000 per single contract OR ₹1,00,000 in aggregate.
- Section 194I: ₹2,40,000 per year.
- Section 194J: ₹30,000 per year (₹30,000 in a single payment also attracts TDS).
- Section 194H: ₹15,000 per year.

If the payment is below the threshold, no TDS.

The lower-rate / nil-rate certificate (Section 197)

If the recipient expects their total income to be below the taxable limit, they can apply to the AO (Assessing Officer) for a certificate of lower or nil TDS. The deductor then deducts at the lower rate (or nil) mentioned in the certificate. The certificate is valid for the FY mentioned. The recipient must file ITR even with the certificate.

24. TAN & PAN in TDS — The Two IDs You Need

TDS requires two IDs: TAN of the deductor, and PAN of the deductee.

TAN of the deductor

Every person who deducts TDS must obtain a TAN. The TAN is a 10-character alphanumeric ID. It is required for:

- Depositing TDS via challan 281 (TAN is the primary key on the challan).
- Filing TDS returns (TAN is the login ID on the TDS-CPC portal).

Without TAN, you cannot deposit TDS or file TDS returns. Apply for TAN at incometax.gov.in e-File TAN. Cost: ₹65 (online, digital allotment).

PAN of the deductee

Every payment to a deductee requires the deductee's PAN. Without PAN:

- TDS is deducted at 20% (instead of the normal rate).
- The TDS credit does not reflect in the deductee's Form 26AS.
- The deductee cannot claim the TDS in their ITR.

Always collect the PAN of every payee before making a payment. Validate the PAN via the PAN validation API on the Income Tax portal.

Quoting TAN and PAN correctly

In the TDS challan 281:

- TAN of deductor in the "TAN" field.
- PAN of deductor in the "PAN" field (auto-filled from TAN).

- Nature of payment code (e.g., 94J for professional fees).
- Amount of payment, TDS rate, TDS amount.

In the TDS return (24Q / 26Q / 27Q):

- TAN of deductor (login).
- PAN of each deductee (one row per deductee).
- Section code.
- Gross amount, TDS amount.
- Date of payment, date of deduction.

Common TAN mistakes

- Not having a TAN at all (you cannot deposit TDS).
- Quoting wrong TAN in the challan (deposit goes to wrong account).
- Quoting wrong section code in the challan.
- Not filing the TDS return on time.
- Late deposit of TDS (interest under Section 201(1A) at 1.5% per month or part of the month).

25. Major TDS Sections (192, 194A, 194C, 194I, 194J, and More)

This is the cheat sheet of the sections you'll use most often.

Section	Nature of Payment	TDS Rate (Individual/HUF)	TDS Rate (Others)	Threshold
192	Salary	As per slab	As per slab	–
193	Interest on securities	10%	10%	–
194	Dividend	10%	10%	₹5,000/year
194A	Interest (other than securities)	10%	10%	₹40,000/year (banks); ₹5,000/year (others)
194B	Lottery / crossword winnings	30%	30%	₹10,000/single transaction
194BA	Online gaming winnings	30%	30%	–
194BB	Horse race winnings	30%	30%	₹10,000/single transaction
194C	Contractor payments	1%	2%	₹30,000 single / ₹1,00,000 aggregate
194D	Insurance commission	5%	10%	₹15,000/year
194DA	Life insurance policy maturity	5%	5%	₹1,00,000
194EE	NSS withdrawal	10%	10%	–
194F	Repurchase of units by MF	20%	20%	–
194G	Commission on sale of lottery	5%	5%	₹15,000
194H	Commission / brokerage	5%	5%	₹15,000/year

Section	Nature of Payment	TDS Rate (Individual/HUF)	TDS Rate (Others)	Threshold
194I	Rent	10%	10%	₹2,40,000/year
194IA	Transfer of immovable property (other than agricultural land)	1%	1%	₹50,00,000
194IB	Rent by individual/HUF not liable to audit	5%	–	₹2,40,000/year
194J	Professional / technical fees	10% (prof) / 2% (tech for non-ind)	10% / 2%	₹30,000/year
194LA	Compensation on compulsory acquisition of immovable property	10%	10%	–
194M	Payment by individual/HUF for contractual work / commission / brokerage (not liable to audit)	5%	5%	₹50,00,000 aggregate
194N	Cash withdrawal from bank	2%	2%	₹1 crore (₹20 lakh for non-filers)
194O	TDS on e-commerce transactions by operator	1%	1%	–
195	Non-resident payments	As per DTAA / Act	As per DTAA / Act	–

Section 194J — the most misunderstood

Section 194J is the most commonly mis-applied section. The TDS rate depends on the type of payee and the nature of the service:

- Professional services (CA, lawyer, doctor, engineer, architect, consultant, interior decorator, film artist, company secretary, information technology professional, legal professional, medical professional, chartered accountant, etc.): 10%
- Technical services (other than professional): 2% if paid to a non-individual (company, firm, LLP). 10% if paid to an individual.
- Royalty: 10%
- Director fees: 10%
- Non-compete fees / non-compete agreements: 10%

The 2% rate for technical services was introduced in 2023. Many professionals still deduct 10% for everything, leading to over-deduction. Verify the rate.

Section 194C — the contractor section

Section 194C applies to payments to contractors for any work (including advertising, broadcasting, telecasting, transport of goods, catering). The rates:

- Individual or HUF: 1%
- Others (company, firm, LLP, AOP, BOI): 2%

Threshold: ₹30,000 in a single payment OR ₹1,00,000 in aggregate during the FY.

If the payment is for personal purposes, no TDS. If the contract is for a manufacturer (selling manufactured goods), no TDS under 194C (covered under a different section for the buyer).

Section 194I — the rent section

- Plant and machinery / equipment: 10%
- Land and building / furniture and fittings: 10%
- Threshold: ₹2,40,000 per year (combined, if multiple landlords)

If you pay rent below ₹20,000/month, no TDS. If you cross the threshold, deduct 10%. If the landlord is a non-resident, deduct at 30% under Section 195 (plus applicable surcharge and cess).

Section 194IB — the small landlord section

For individuals and HUFs not liable to tax audit, paying rent above ₹2,40,000 per year, TDS is deducted at 5% (not 10%) and deposited within 30 days from the end of the month of deduction. The return is 26QC (one-time, by 30 days from the end of the month of deduction). The certificate is 16C. This section was introduced to simplify TDS for small landlords.

26. The TDS Deduction Process (Step by Step)

This is the full process for deducting, depositing, and reporting TDS for a single transaction.

Step 1: Identify the nature of payment

Every payment falls under a specific section. Identify the section, the rate, and the threshold.

Step 2: Check the threshold

If the cumulative payment to a single payee in the FY is below the threshold, no TDS. If at or above, deduct.

Step 3: Verify the PAN of the deductee

Always collect and verify the PAN of the deductee before making a payment. If PAN is not available, deduct at 20% (and the deductee cannot claim the credit).

Step 4: Deduct TDS at the time of payment or credit (whichever is earlier)

"Deduction" happens at the earliest of:

- Credit to the account of the deductee.
- Payment in cash or cheque.
- Payment in kind (issue of shares, assets, etc.).

For salary, TDS is deducted at the time of actual payment.

Step 5: Quote the deductee's PAN and the section in the payment advice

In the bank transfer narration, the cheque memo, or the payment advice, mention the deductee's PAN and the section. This helps the deductee claim the credit and helps you prove the deduction.

Step 6: Deposit the TDS via challan 281

The TDS must be deposited by the 7th of the next month (for non-government deductors) or the same day (for government deductors). The challan 281 is filed online via tin-nsdl.com e-Payment TDS. The CIN is generated immediately.

Step 7: Issue the TDS certificate (Form 16A) within 15 days

The TDS certificate (Form 16A for non-salary, Form 16 for salary) must be issued to the deductee within 15 days from the due date of filing the TDS return for the quarter. The certificate is generated via the TRACES portal (tdscpc.gov.in) and can be downloaded by both the deductor and the deductee.

Step 8: File the TDS return for the quarter

The TDS return (24Q for salary, 26Q for non-salary, 27Q for non-resident) must be filed by the due date (last day of the month following the quarter end, with extensions). The return is filed via the TRACES portal.

Step 9: Reconcile the TDS paid with the deductee's Form 26AS

At year-end, ask your deductee to share their Form 26AS and confirm that the TDS you've deposited and reported matches the credit shown in their Form 26AS. If there's a mismatch, correct it in the TDS return (via a correction statement).

27. The TDS Payment Process (Challan 281, Online)

This is the detailed process for depositing TDS using Challan 281.

Step 1: Go to tin-nsdl.com e-Payment TDS / TCS

The TDS challan 281 form opens. Fill in:

- TAN of the deductor (10-character alphanumeric)
- Financial year (e.g., 2026-27)
- Assessment year (2027-28)
- Type of payment (TDS / TCS)
- Nature of payment (e.g., 94J for professional fees, 94C for contractors, 94I for rent)
- Amount of payment (gross amount on which TDS is calculated)
- TDS rate
- TDS amount
- Surcharge, education cess, interest, penalty, others (if applicable)
- Total amount to be paid (auto-calculated)

Step 2: Choose the payment mode

- Net banking (recommended)
- Debit card
- NEFT / RTGS (allowed for some banks)
- Over the counter at a designated bank (rare, for very small amounts)

Step 3: Authorize the payment

Confirm the payment via net banking (login + OTP). The CIN is generated on the next screen. Save the CIN.

Step 4: Download the challan receipt

The challan receipt (with the CIN) is available on the TIN portal immediately. It is also emailed to the registered email ID. Save it for your records.

Step 5: Update your TDS working sheet

In your Excel TDS tracker, note the CIN, the date of payment, the section, the amount, and the deductee.

Late deposit of TDS

If you deposit TDS late, interest under Section 201(1A) applies:

- 5% per month or part of the month from the date of deduction to the date of deposit.
- For non-deduction: 1.5% per month from the date of deduction to the date of actual payment of tax.
- For failure to pay: 1% per month for the period of default.

The interest is computed on the TDS amount, not on the total payment.

Common challan errors

- Wrong TAN. Payment is credited to the wrong TAN. Correction via the bank is possible, but it's a pain.
- Wrong section code. The challan is rejected by the bank.
- Wrong assessment year. The credit goes to the wrong FY. You have to file a correction return.

- Double payment. The same TDS is deposited twice. Refund via the correction process.
- Mismatch with the TDS return. The challan is paid but the return doesn't include the deductee. The deductee can't claim the credit.

28. TDS Return Filing Overview (24Q, 26Q, 27Q)

There are 4 TDS returns. Most small deductors deal with only 2.

The 4 returns

- Form 24Q: TDS on salary. Filed quarterly.
- Form 26Q: TDS on non-salary payments (contractor, rent, professional, etc.). Filed quarterly.
- Form 27Q: TDS on payments to non-residents (excluding salary). Filed quarterly.
- Form 27EQ: TCS (Tax Collected at Source). Filed quarterly. (Not covered in detail here.)

Quarterly due dates

Quarter	Period	Due Date (Original)	Due Date (with Extension, where applicable)
Q1	April–June	31 July	31 July (no extension in recent years)
Q2	July–September	31 October	31 October
Q3	October–December	31 January	31 January
Q4	January–March	31 May	31 May

For FY 2025-26, the due dates are unchanged.

How to file

The TDS return is filed on the TRACES portal (tdscpc.gov.in):

- Login with TAN and password.
- Go to Returns File Returns.
- Select the form, FY, and quarter.

- Either fill in the online form OR upload a validated text file (using the NSDL RPU or the TDS-TextPrep utility).
- Validate the file (NSDL validation utility).
- Upload the file.
- Provide the digital signature (DSC) or the ITR-V (not applicable for TDS).
- Submit. The PRN (Provisional Receipt Number) is generated.
- The return is processed by the TDS-CPC, and the status is updated to "Successfully filed" within 1–7 days.
- Download the Form 16A for the deductees (after processing).

What to include in each return

For Form 24Q (salary):

- TAN of the deductor
- PAN of each employee
- Name of each employee
- Gross salary
- Exemptions (HRA, LTA, etc.)
- Deductions under Chapter VI-A
- Net taxable salary
- TDS deducted
- TDS deposited (with CIN)
- Date of payment / deduction

For Form 26Q (non-salary):

- TAN of the deductor
- PAN of each deductee

- Name of each deductee
- Section code
- Gross payment
- TDS rate
- TDS amount
- TDS deposited (with CIN)
- Date of payment / deduction

For Form 27Q (non-resident):

- Same as 26Q, with the additional field for country of residence and DTAA rate (if applicable).

Late filing of TDS return

- Late fee: ₹200/day under Section 234E, capped at the TDS amount.
- If the deductor doesn't file the return at all, the TDS is treated as "deposited but not reported," and the deductee can't claim the credit. The deductee has to ask the deductor to file a belated return (with a late fee up to ₹1 lakh per return).

Correction returns

If you made a mistake in a filed return, you can file a correction return. There is no limit on the number of corrections. Each correction must be for an error that is not a "fundamental change" (e.g., changing the TAN, FY, or quarter is not allowed; correcting a PAN or amount is allowed).

29. TDS Due Dates and Compliance Timeline

The complete TDS compliance calendar for FY 2026-27.

Task	Frequency	Due Date
Deposit TDS (non-government)	Monthly	7th of next month
Deposit TDS (government)	Same-day	Same day as deduction
Deposit TCS	Monthly (or 7 days, in some cases)	7th of next month
Issue Form 16 (salary TDS certificate)	Annual	15 June
Issue Form 16A (non-salary TDS certificate)	Quarterly	15 days from due date of TDS return
File Form 24Q (salary)	Quarterly	31 July / 31 Oct / 31 Jan / 31 May
File Form 26Q (non-salary)	Quarterly	Same as 24Q
File Form 27Q (non-resident)	Quarterly	Same as 24Q
File Form 27EQ (TCS)	Quarterly	Same as above
Issue Form 16C (rent paid by individual/HUF under 194IB)	Annual	Within 15 days from the due date of filing Form 26QC
File Form 26QC (rent paid by individual/HUF under 194IB)	One-time	30 days from the end of the month of deduction

Late deposit of TDS

- Interest under Section 201(1A): 1.5% per month or part of the month.
- Interest on failure to deduct or pay: same rate.
- Penalty under Section 271H: ₹10,000 to ₹1,00,000 for failure to file TDS return.

Late filing of TDS return

- Late fee under Section 234E: ₹200/day, capped at the TDS amount.
- If not filed: deductee can't claim credit; deductor has to file belated return with late fee up to ₹1,00,000 (under Section 271H).

Late issue of TDS certificate

- Penalty under Section 272A(2): ₹100/day of default, capped at the TDS amount.

30. Common TDS Mistakes Checklist

The 15 mistakes the TDS-CPC catches most often. Avoid them.

- [] Deducting TDS at the wrong rate. Use the section-specific rate table in Chapter 25.
- [] Deducting TDS at 20% because PAN not collected. Always collect PAN before payment.
- [] Depositing TDS on the wrong TAN. Verify the TAN before making the payment.
- [] Depositing TDS under the wrong section code. Use the right code (e.g., 94J for professional, 94C for contractor).
- [] Depositing TDS late. Interest applies.
- [] Filing the TDS return late. Late fee applies.
- [] Filing the TDS return with wrong PAN of deductee. The deductee can't claim the credit.
- [] Filing the TDS return with wrong gross amount. The deductee's Form 26AS will mismatch.
- [] Not issuing the TDS certificate (Form 16A) to the deductee. Mandatory within 15 days.
- [] Not reconciling the TDS with the deductee. Always cross-check.
- [] Deducting TDS on an exempt payment. e.g., TDS on agricultural income.
- [] Deducting TDS below the threshold. Don't deduct if the cumulative payment is below the threshold.
- [] Not considering DTAA for non-resident payments. The TDS rate may be lower under DTAA.
- [] Forgetting the 194IB rule for small landlords. Different rate, different return, different certificate.

- [] Not filing Form 26QC for rent paid by individual/HUF.
Mandatory for rent above ₹2,40,000/year.

31. TDS Practical Examples and FAQs

Example 1: Freelancer paid ₹50,000 for design work

- Section: 194J (professional fees, individual). Rate: 10%.
- Gross payment: ₹50,000.
- TDS: ₹5,000.
- Net paid: ₹45,000.
- TDS to be deposited by 7th of next month (challan 281, section 94J, PAN of freelancer).
- TDS return: 26Q, due 31 July (if paid in Q1 of FY 2026-27).
- TDS certificate: 16A to be issued to freelancer by 15 August.

Example 2: Rent paid to a landlord, ₹30,000/month

- Section: 194I (rent on land & building). Rate: 10%.
- Annual rent: ₹3,60,000 (above ₹2,40,000 threshold).
- Gross payment: ₹30,000/month.
- TDS: ₹3,000/month.
- Net paid: ₹27,000/month.
- TDS deposited by 7th of next month.
- TDS certificate (Form 16A) issued quarterly.

Example 3: Salary to a junior employee, ₹30,000/month

- Section: 192 (salary). Rate: as per slab.
- Gross salary: ₹30,000/month.
- Standard deduction: ₹75,000/year (new regime) ₹6,250/month.
- Taxable salary: ₹23,750/month ₹2,85,000/year.

- Tax on ₹2,85,000 (new regime slabs): nil (below ₹4 lakh, plus rebate up to ₹12 lakh).
- TDS: nil.
- The employee has to file ITR-1 by December 31.

Example 4: Contractor paid ₹80,000 for a one-time project

- Section: 194C (contractor). Rate: 1% (individual).
- Gross payment: ₹80,000 (above ₹30,000 single-payment threshold).
- TDS: ₹800.
- Net paid: ₹79,200.
- TDS deposited by 7th of next month.
- TDS certificate issued.

Example 5: Payment to a CA for audit, ₹1,00,000

- Section: 194J (professional fees, individual). Rate: 10%.
- Gross payment: ₹1,00,000 (above ₹30,000/year threshold).
- TDS: ₹10,000.
- Net paid: ₹90,000.
- TDS deposited.
- TDS certificate issued.

FAQs

Q: I am a freelancer. My client deducts TDS on my invoice. How do I get the credit? A: You claim the credit in your ITR via Form 26AS. File ITR-3 (or ITR-4 if presumptive), and the TDS will reflect in your tax credit. If the TDS exceeds your tax liability, you'll get a refund.

Q: My client is deducting TDS at a higher rate than I expected. What do I do? A: Ask the client to verify the section and rate. If they made a mistake, ask them to file a correction return. If the rate is correct (e.g., 10% under 194J), accept it. You can always claim a refund in your ITR.

Q: I am a landlord receiving rent. My tenant is deducting TDS under 194IB. Do I need to do anything? A: Your tenant deposits the TDS and files Form 26QC. They issue you Form 16C. You claim the credit in your ITR.

Q: I have not received the TDS certificate from the deductor. Can I still claim the credit? A: The credit reflects in your Form 26AS based on the TDS return filed by the deductor. You don't strictly need the certificate to claim the credit in ITR, but the certificate is the backup. Follow up with the deductor.

Q: My TDS is reflected in Form 26AS but not in AIS. Is there a problem? A: AIS is the newer, more detailed statement. Both are auto-populated. In case of mismatch, Form 26AS is the authoritative document for TDS credit.

Part V — Compliance Checklists

32. GST Compliance Checklist (Printable)

Tick every box. Monthly, quarterly, annually.

Monthly (by the 11th)

- ☐ All B2B invoices issued during the month compiled.
- ☐ All B2C invoices above ₹2.5 lakh compiled.
- ☐ All credit / debit notes compiled.
- ☐ All advances and adjustments compiled.
- ☐ GSTR-1 prepared and reviewed.
- ☐ GSTR-1 filed (before 11th of next month).

Monthly (by the 14th)

- ☐ GSTR-2B downloaded.
- ☐ Purchase Register reconciled with GSTR-2B.
- ☐ Differences investigated.

Monthly (by the 20th)

- ☐ Eligible ITC computed (from GSTR-2B).
- ☐ Output tax computed (from GSTR-1).
- ☐ Net tax payable computed.
- ☐ Electronic credit ledger checked (sufficient ITC).
- ☐ Electronic cash ledger checked (sufficient cash).
- ☐ GSTR-3B prepared and reviewed.
- ☐ Tax paid (electronic cash ledger).
- ☐ GSTR-3B filed (before 20th of next month).

Quarterly

- ☐ Reconciliation of GSTR-1 vs GSTR-3B (turnover and tax).

- [] E-way bill generation reviewed (no missed e-way bills).
- [] RCM (reverse charge) payments reviewed.
- [] Supplier follow-up (for invoices not appearing in GSTR-2B).
- [] ITC reversal review (for non-payment beyond 180 days).

Annually

- [] GSTR-9 prepared and reviewed (cross-check with audited books).
- [] GSTR-9 filed (before 31 December of next FY).
- [] GSTR-9C prepared and reviewed (if turnover > ₹2 crore).
- [] GSTR-9C filed.
- [] Tax paid (if any balance from GSTR-9).
- [] All GST records retained for 6 years.

Event-driven

- [] New business registration (within 30 days of crossing threshold).
- [] Cancellation of registration (within 30 days of closure).
- [] Amendment of registration details (within 15 days of change).
- [] Intimation of change in authorised signatory (within 15 days).

33. TDS Compliance Checklist (Printable)

Per transaction

- ☐ Nature of payment identified.
- ☐ Section code and rate identified.
- ☐ PAN of deductee collected and verified.
- ☐ Threshold checked (cumulative payment during the FY).
- ☐ TDS deducted at the right rate.
- ☐ TDS deposited via challan 281 (by 7th of next month).
- ☐ CIN noted in TDS tracker.

Quarterly

- ☐ All deductee PANs verified.
- ☐ TDS return (24Q / 26Q / 27Q) prepared.
- ☐ TDS return validated (NSDL utility).
- ☐ TDS return filed (by 31 July / 31 Oct / 31 Jan / 31 May).
- ☐ Form 16A / 16 issued to deductees (within 15 days of return filing).
- ☐ TRACES statement downloaded (Form 26AS for the deductor).
- ☐ Deductee reconciliation done.

Annually

- ☐ Form 16 (salary TDS certificate) issued to all employees (by 15 June).
- ☐ TDS certificate reconciliation done with employees' Form 26AS.
- ☐ All TDS records retained for 6 years.

- [] Form 26QC (rent by individual/HUF) filed for the year.
- [] Form 16C (rent TDS certificate) issued to landlord.

Event-driven

- [] New employee onboarded (TAN verified, PAN verified, Form 12BB collected).
- [] New vendor onboarded (PAN verified, section identified).
- [] New landlord onboarded (PAN verified, agreement on file).
- [] New non-resident payee onboarded (DTAA considered, withholding rate verified).

34. ITR Compliance Checklist (Printable)

Pre-filing (T-30 days)

- ☐ All documents gathered (see Chapter 8).
- ☐ Form 26AS downloaded and reconciled.
- ☐ AIS downloaded and reconciled.
- ☐ Bank account pre-validated for refund.

Computation (T-15 days)

- ☐ Gross Total Income computed.
- ☐ Chapter VI-A deductions claimed.
- ☐ Total Taxable Income computed.
- ☐ Tax on both regimes computed.
- ☐ Better regime selected.
- ☐ TDS and advance tax reconciled.
- ☐ Net tax payable / refund computed.

Filing (T-7 days)

- ☐ ITR form selected.
- ☐ Return prepared (JSON or online utility).
- ☐ Return reviewed.
- ☐ Return uploaded.
- ☐ Acknowledgement number noted.

Verification (T-day)

- ☐ Return e-verified (Aadhaar OTP / net banking / DSC).
- ☐ Verification confirmation received.
- ☐ ITR-V downloaded.

Post-filing (T+30 days)

- ☐ Refund status checked.
- ☐ Bank account confirmed.
- ☐ Next year's tax planning started.

Part VI — The Tax Calendar

35. The 2026 Tax Calendar (Every Important Date)

This is the master calendar. Print it. Tape it to the wall. Don't miss a date.

April 2026

- April 1: New Financial Year 2026-27 begins.
- April 30: Form 16 due from employer (for FY 2025-26).
- April 30: Q4 TDS return (Jan–March 2026) due.
- April 30: GSTR-4 due (composition taxpayers, for FY 2025-26).

May 2026

- May 7: TDS deposit for April 2026.
- May 11: GSTR-1 for April 2026.
- May 15: Form 16A for Q4 of FY 2025-26.
- May 20: GSTR-3B for April 2026.
- May 31: Q4 TDS return (final, with late fee).

June 2026

- June 7: TDS deposit for May 2026.
- June 11: GSTR-1 for May 2026.
- June 15: Advance tax instalment 1 (15%) due.
- June 20: GSTR-3B for May 2026.
- June 30: Q1 TDS return (April–June 2026).

July 2026

- July 7: TDS deposit for June 2026.
- July 11: GSTR-1 for June 2026.

- July 15: Q1 TDS return (final, with late fee).
- July 15: Form 16A for Q1 of FY 2026-27.
- July 20: GSTR-3B for June 2026.
- July 31: Q1 TDS return (final, with late fee).

August 2026

- August 7: TDS deposit for July 2026.
- August 11: GSTR-1 for July 2026.
- August 15: Independence Day (no filing deadline).
- August 20: GSTR-3B for July 2026.

September 2026

- September 7: TDS deposit for August 2026.
- September 11: GSTR-1 for August 2026.
- September 15: Advance tax instalment 2 (45%) due.
- September 20: GSTR-3B for August 2026.
- September 30: Q2 TDS return (July–September 2026).

October 2026

- October 7: TDS deposit for September 2026.
- October 11: GSTR-1 for September 2026.
- October 15: Q2 TDS return (final, with late fee).
- October 15: Form 16A for Q2 of FY 2026-27.
- October 20: GSTR-3B for September 2026.
- October 31: Q2 TDS return (final, with late fee).
- October 31: GSTR-9 due for FY 2025-26 (was December 31 in some years).

November 2026

- November 7: TDS deposit for October 2026.
- November 11: GSTR-1 for October 2026.
- November 20: GSTR-3B for October 2026.

December 2026

- December 7: TDS deposit for November 2026.
- December 11: GSTR-1 for November 2026.
- December 15: Advance tax instalment 3 (75%) due.
- December 15: Q3 TDS return (October–December 2026).
- December 20: GSTR-3B for November 2026.
- December 31: ITR filing deadline for AY 2026-27 (most individuals).
- December 31: Belated / revised return window for AY 2026-27 closes.

January 2027

- January 7: TDS deposit for December 2026.
- January 11: GSTR-1 for December 2026.
- January 15: Q3 TDS return (final, with late fee).
- January 15: Form 16A for Q3 of FY 2026-27.
- January 20: GSTR-3B for December 2026.
- January 31: Q3 TDS return (final, with late fee).

February 2027

- February 7: TDS deposit for January 2027.
- February 11: GSTR-1 for January 2027.
- February 20: GSTR-3B for January 2027.
- February 28: Last date to file revised return for AY 2025-26.

March 2027

- March 7: TDS deposit for February 2027.
- March 11: GSTR-1 for February 2027.
- March 15: Advance tax instalment 4 (100%) due.
- March 20: GSTR-3B for February 2027.
- March 31: End of FY 2026-27.
- March 31: Last date to deposit Q4 TDS without interest.
- March 31: Last date to file Q4 TDS return (April 30, with late fee).

Part VII — Templates & Tools

36. Professional Business Invoice Template (Freelancer)

Below is the freelancer invoice template. Use it for every bill. Make 2 copies: one for the client, one for you. The template is GST-compliant (Chapter 17).

+-----+

| TAX INVOICE / BILL OF SUPPLY |

+-----+

| Invoice No: INV-2026-001 |

| Invoice Date: 10 / 04 / 2026 |

| Due Date: 10 / 05 / 2026 (Net 30) |

| Reverse Charge: No |

+-----+

| FROM (Supplier): |

| |

| Name: [Your Name / Business Name] |

| Address: [Full Address] |

| GSTIN: [15-char GSTIN or "Unregistered"] |

| PAN: [10-char PAN] |

| State: [State Name] (Code: [XX]) |

| Mobile: [Phone] |

| Email: [Email] |

| Bank: [Bank Name] |

| Account: [Account Number] |

| IFSC: [IFSC Code] |

+-----+

| TO (Recipient / Billed To): |

| |

| Name: [Client Name] |

| Address: [Client Address] |

| GSTIN: [Client GSTIN] |

| State: [Client State] (Code: [YY]) |

+-----+

| SHIPPED TO (if different from Recipient): |

||

| Name: [Ship to Name] |

| Address: [Ship to Address] |

+-----+

#	Description of Service	HSN/SAC	Qty	Unit	Rate	Amt
---	-----	-----	----	-----	-----	-----
1	Website Design	998314	1	1	50,000	50,000
(5-page responsive						
website)						

+-----+

| Subtotal: ₹50,000 |

| Discount: — |

| Taxable Value: ₹50,000 |

+-----+

| Tax Breakdown: |

| CGST @ 9% (intra-state) ₹ 4,500 |

| SGST @ 9% (intra-state) ₹ 4,500 |

| IGST @ 18% (inter-state) — |

| Cess — |

+-----+

| TOTAL INVOICE VALUE: ₹ 59,000 |

+-----+

| Place of Supply: [State Name] |

| Amount in Words: Fifty Nine Thousand Rupees Only |

+-----+

| Terms: |

| 1. Payment due within 30 days of invoice date. |
 | 2. Late fee of 1.5% per month on overdue amounts. |
 | 3. TDS will be deducted by client as applicable. |
 +-----+
 | For [Your Business Name]: |
 ||
 | _____ |
 | Authorised Signatory |
 +-----+

How to use it

- Open a Google Doc / Word / Pages document.
- Copy the template above.
- Replace all bracketed fields with your details.
- Save as a reusable template.
- For each new invoice, "Make a Copy" and update the Invoice No and Date.

HSN/SAC codes for common services

- 998314: Website design and development
- 998315: Website hosting
- 998316: Software development
- 998317: IT consulting
- 998331: Market research
- 998361: Advertising services
- 998391: Photography
- 998392: Videography
- 998396: Writing / content creation

- 998397: Translation
- 998398: Consulting services
- 998314: Graphic design
- 998315: Logo design

Use the HSN/SAC search on the GST portal to find the right code for your service.

37. Professional Business Invoice Template (Agency)

The agency template is similar to the freelancer template, but with:

- Multiple line items (more space)
- A separate "Project" or "Engagement" section at the top
- A "PO Number" field (for clients who issue purchase orders)
- A "Project Manager" field (for both sides)
- A payment schedule (50% advance + 50% on delivery, or monthly milestones)

The structure is the same as the freelancer template, with the additions above. Save the template as "Agency Invoice" and use it for any engagement above ₹1,00,000.

38. Business Expense Tracker (How to Use the Spreadsheet)

The Business Expense Tracker in this kit is a 1-sheet workbook. Columns:

- Date
- Vendor / Payee
- Category (Software / Hosting / Travel / Office / Phone / Internet / Professional Fees / Marketing / Equipment / Other)
- Description
- Invoice Reference
- GST Component (CGST, SGST, IGST, cess)
- Net Amount
- Gross Amount (including GST)
- Payment Mode (Bank transfer / UPI / Cheque / Cash)
- Notes

How to use it

- Log every business expense the day you pay it.
- Save the invoice (scan or PDF) in a folder named with the date and vendor.
- Reconcile with your bank statement every month.
- At GST return time, pull the rows with GST to claim ITC.
- At ITR time, pull all rows to claim as business expenses (under ITR-3 or ITR-4).

Categories for a freelancer or small agency

- Software (SaaS subscriptions, design tools, AI tools)

- Hosting (servers, domains, CDN)
- Travel (flights, hotels, taxis for client meetings)
- Office (rent, electricity, internet)
- Phone (mobile bill)
- Internet (broadband)
- Professional fees (CA, lawyer, consultant)
- Marketing (ads, sponsorships, content)
- Equipment (laptop, monitor, chair)
- Training (courses, books, conferences)
- Other

Common expense tracker mistakes

- Logging only the GST component and not the gross. The full amount is your business expense.
- Not saving the invoice. The expense is not deductible without documentation.
- Logging personal expenses as business. Wrong; it's a red flag on audit.
- Logging expenses without GST when the vendor is registered. Claim the ITC.

39. Government Tax Resources Directory

The official portals. Bookmark them.

Income Tax

- incometax.gov.in — the main e-filing portal. Login with PAN + password.
- tin-nsdl.com — TDS challan payment.
- tdscpc.gov.in (TRACES) — TDS returns, Form 16A download, defaults.
- eportal.incometax.gov.in — PAN application.
- incometaxindia.gov.in — older portal, still has circulars and notifications.
- citizen.tin-nsdl.com — PAN verification.
- incometax.gov.in/iec/foplen/ — PAN enquiry.

GST

- gst.gov.in — main GST portal. Login with GSTIN + password.
- ewaybill.nic.in — e-way bill generation.
- gsttds.com — GST TDS portal.
- cleartax.in/gst — practical GST calculators and tools (third party).
- gstn.org — GST Network (the technology backbone).

TAN / PAN / Aadhaar

- incometax.gov.in (TAN application)
- utiitsl.com (Protean, the official PAN service provider)
- uidai.gov.in (Aadhaar)

- myaadhaar.uidai.gov.in (mAadhaar app)

MCA (for companies / LLPs)

- mca.gov.in — Ministry of Corporate Affairs. Company / LLP / DIN / DSC.

RBI / Banking

- rbi.org.in — Reserve Bank of India.
- ifsccodebank.com — IFSC code search.

Other

- incometax.gov.in/Forms-Templates/Notifications.aspx — all CBDT notifications.
- cbic.gov.in — Central Board of Indirect Taxes and Customs (CBIC, for GST notifications).
- gstcouncil.gov.in — GST Council meeting decisions.
- cbdt.gov.in — CBDT circulars and instructions.

Practical tools (third party)

- cleartax.in — tax calculators, ITR preparation, GST filing.
- quicko.com — ITR, GST, TDS.
- tax2win.in — ITR, GST.
- zoho.com/invoice — invoicing and accounting.
- khatabook.com — small business accounting.
- myBillBook.com — invoicing and GST.

These third-party tools are optional. The official portals are sufficient if you have the time and discipline.

40. The Ultimate Tax Document Organizer

The single biggest reason people miss tax filings is lost documents. The single biggest reason for audit issues is missing invoices. The single biggest reason for penalty is unrecorded transactions. The fix is one organized folder per year, with a fixed structure.

The folder structure

```
[Year]/  
- 01_Income/  
  - 01_Salary/  
    - - Form16_[FY].pdf  
  - 02_Freelance/  
    - - ClientA_Invoice001.pdf  
    - - ClientA_Invoice002.pdf  
    - - ...  
  - 03_Business/  
    - - Sales_Register_[FY].xlsx  
  - 04_Capital_Gains/  
    - - Broker_Statement_[FY].pdf  
  - 05_Other_Sources/  
    - FD_Interest_Certificates.pdf  
    - Savings_Interest_Certificate.pdf  
- 02_Expenses/  
  - 01_Software/  
    - - [VendorName]_[Month]_[Year].pdf  
  - 02_Hosting/  
  - 03_Travel/  
  - 04_Office/  
  - 05_Phone_Internet/  
  - 06_Professional_Fees/
```

- - - [CA_Lawyer]_[FY].pdf
- - 07_Marketing/
- - 08_Equipment/
- - 09_Other/
- 03_TDS/
- - 01_TDS_Deducted_by_Others/
- - - Form16A_[Deductor]_[Q].pdf
- - 02_TDS_Deducted_by_Me/
- - - Challan_281_[Month].pdf
- - - TDS_Return_[Q].pdf
- - - TDS_Certificate_[Q].pdf
- - 03_Form_26AS_AIS/
- - Form26AS_AIS_[FY].pdf
- 04_GST/
- - 01_GST_Registration/
- - - GST_Certificate.pdf
- - 02_GSTR-1/
- - - GSTR1_[Month].pdf
- - 03_GSTR-3B/
- - - GSTR3B_[Month].pdf
- - 04_GSTR-2B/
- - - GSTR2B_[Month].pdf
- - 05_GSTR-9/
- - GSTR9_[FY].pdf
- 05_Advance_Tax/
- - Challan_280_[Q].pdf
- 06_Deductions/
- - 01_80C/
- - - ELSS_Receipts.pdf
- - - LIC_Receipt.pdf

- - - PPF_Statement.pdf
- - - EPF_Passbook.pdf
- - 02_80D/
- - - Health_Insurance_Premium_Receipts.pdf
- - 03_80CCD-1B/
- - - NPS_Statement.pdf
- - 04_80E/
- - - Education_Loan_Certificate.pdf
- - 05_80G/
- - - Donation_Receipts.pdf
- - 06_HRA/
- - Rent_Receipts_[Month].pdf
- 07_Bank_Statements/
- - BankA_Statement_[FY].pdf
- - BankB_Statement_[FY].pdf
- - BankC_Statement_[FY].pdf
- 08_ITR/
- - ITR_Computation_[FY].xlsx
- - ITR_Return_[FY].json
- - ITR_Acknowledgement_[FY].pdf
- - ITR_Verification_[FY].pdf
- 09_Audit_Reports/
- - Tax_Audit_Report_[FY].pdf
- 10_Correspondence/
- Income_Tax_Notices_[FY].pdf
- GST_Notices_[FY].pdf
- TDS_Notices_[FY].pdf

How to use it

- Create the folder structure at the start of the FY (April 1).

- Drop every relevant document into the right folder, the day you receive it.
- The structure is the same every year, so you can find anything in seconds.
- At year-end, the FY folder is the entire tax record for that year.
- Retain for 6 years (8 years recommended for ITR-related docs).

Digital tools

If you prefer cloud storage:

- Google Drive (free up to 15 GB)
- Dropbox (paid, more features)
- OneDrive (comes with Microsoft 365)
- iCloud (for Mac users)

Use the same folder structure as above. Add a clear naming convention: `YYYY-MM-DD_VendorName_DocumentType.pdf` (e.g., `2026-04-15_GoDaddy_HostingInvoice.pdf`).

Security

Tax documents contain PAN, Aadhaar, bank details. Keep them:

- Password-protected (use a password manager like Bitwarden or 1Password)
- Two-factor authentication on the cloud account
- Encrypted at rest (most cloud providers do this by default)
- Never shared via WhatsApp or email (use a secure document-share link)

Appendix A: Quick-Reference Tables

A.1 ITR Form Selection

ITR Form	Who	Income Sources	Notes
ITR-1 (SAHAJ)	Resident individual	Salary, one house property, other sources	Total income up to ₹50 lakh; no capital gains / business / foreign assets
ITR-2	Individual / HUF	Salary, house property, capital gains, other sources, foreign assets	No business or profession income
ITR-3	Individual / HUF	All sources including business / profession	Most freelancers and small business owners
ITR-4 (SUGAM)	Individual / HUF / firm (other than LLP)	Presumptive business / professional income	Turnover up to ₹2 crore (business) or ₹75 lakh (professional)
ITR-5	Entity other than individual / HUF / company	All sources	Used by LLPs, AOPs, BOIs, trusts
ITR-6	Company	All sources	Excludes companies claiming Section 11
ITR-7	Trusts, political parties, etc.	All sources	For entities claiming specific exemptions

A.2 New Tax Regime Slabs (FY 2025-26, AY 2026-27)

Income Slab	Tax Rate
0 – ₹4,00,000	Nil
₹4,00,000 – ₹8,00,000	5%
₹8,00,000 – ₹12,00,000	10%
₹12,00,000 – ₹16,00,000	15%
₹16,00,000 – ₹20,00,000	20%
₹20,00,000 – ₹24,00,000	25%
Above ₹24,00,000	30%

Rebate under Section 87A: up to ₹12 lakh (effective zero tax up to ₹12.75 lakh including standard deduction).

A.3 Old Tax Regime Slabs (FY 2025-26, AY 2026-27)

Income Slab	Tax Rate
0 – ₹2,50,000	Nil
₹2,50,000 – ₹5,00,000	5%
₹5,00,000 – ₹10,00,000	20%
Above ₹10,00,000	30%

Rebate under Section 87A: up to ₹5 lakh.

A.4 GST Slabs

Slab	Goods / Services
0%	Essentials (fresh produce, milk, eggs, healthcare, education)
5%	Sugar, tea, coffee, spices, medicine, transport, small restaurants
12%	Processed food, computers, business class air tickets
18%	Default slab: most services, capital goods, FMCG
28%	Sin / luxury: cement, paint, automobiles, 5-star hotels, tobacco

A.5 TDS Rates (most-used sections)

Section	Nature of Payment	Rate (Individual)	Rate (Others)
192	Salary	Slab	Slab
194A	Interest (other than securities)	10%	10%
194B	Lottery winnings	30%	30%
194C	Contractor	1%	2%
194H	Commission / brokerage	5%	5%
194I	Rent	10%	10%
194J	Professional fees	10%	10%
194J	Technical services	10%	2%
194N	Cash withdrawal	2%	2%
194O	E-commerce transactions	1%	1%
195	Non-resident payments	DTAA / Act	DTAA / Act

A.6 GST Return Due Dates

Return	Periodicity	Due Date
GSTR-1	Monthly	11th
GSTR-3B	Monthly	20th
GSTR-9	Annual	31 December
GSTR-9C	Annual	31 December

A.7 TDS Return Due Dates

Return	Periodicity	Due Date
24Q (salary)	Quarterly	31 July / 31 Oct / 31 Jan / 31 May
26Q (non-salary)	Quarterly	Same as 24Q
27Q (non-resident)	Quarterly	Same as 24Q
26QC (rent by individual)	One-time	30 days from end of month of deduction

Appendix B: Glossary of Indian Tax Terms

AIS — Annual Information Statement. The detailed, auto-populated statement of all financial transactions linked to your PAN (interest, dividend, TDS, etc.) during the FY.

Advance tax — Income tax paid in instalments during the FY, instead of one lump sum at year-end. Due on 15 June (15%), 15 Sept (45%), 15 Dec (75%), 15 March (100%).

AY — Assessment Year. The year in which the income of a financial year is assessed. For FY 2025-26, AY is 2026-27.

B2B — Business to Business. Sale from one registered business to another registered business.

B2C — Business to Consumer. Sale from a registered business to an unregistered person (or for personal use).

BCDS — Budget Customs Duty Surcharge.

CAGR — Compound Annual Growth Rate.

CENVAT — Central Value Added Tax (the precursor to CGST).

CGST — Central Goods and Services Tax. The Centre's share of intra-state GST.

CIN — Challan Identification Number. Generated when you deposit TDS / advance tax / GST via online challan.

CIT — Commissioner of Income Tax. The senior-most officer of the Income Tax Department in a region.

Composition scheme — A simplified GST scheme for very small businesses. Pay a flat percentage of turnover as tax; no ITC.

CPC — Centralized Processing Centre. The ITR processing centre in Bangalore.

CSD — Canteen Stores Department (a separate tax regime).

DSC — Digital Signature Certificate. Used for signing ITR, TDS return, GST registration, etc.

DTAA — Double Taxation Avoidance Agreement. A treaty between India and another country to avoid taxing the same income twice.

EVC — Electronic Verification Code. Used to verify ITR (now mostly replaced by Aadhaar OTP).

FY — Financial Year. April 1 to March 31. FY 2025-26 = 1 April 2025 to 31 March 2026.

GSTIN — GST Identification Number. 15-character unique ID for every GST-registered person.

GSTN — GST Network. The technology backbone of the GST system.

HSN — Harmonized System of Nomenclature. The international standard for classifying goods (used for GST).

IGST — Integrated Goods and Services Tax. The tax on inter-state supplies; goes entirely to the Centre.

ITR — Income Tax Return. The annual return filed by every taxpayer.

ITC — Input Tax Credit. The credit for GST paid on inputs, used to reduce output GST.

PAN — Permanent Account Number. 10-character alphanumeric ID for every taxpayer.

PMLA — Prevention of Money Laundering Act.

QRMP — Quarterly Return Monthly Payment. A simplified GST compliance scheme for small businesses.

RCM — Reverse Charge Mechanism. The recipient, not the supplier, pays GST.

SAC — Services Accounting Code. The classification system for services (used for GST).

SGST — State Goods and Services Tax. The State's share of intra-state GST.

TAN — Tax Deduction and Collection Account Number. 10-character alphanumeric ID for TDS deductors.

TCS — Tax Collected at Source. Tax collected by the seller at the time of sale (different from TDS).

TDS — Tax Deducted at Source. Income tax deducted by the payer at the time of payment.

TRACES — TDS-CPC. The portal for TDS return filing, Form 16A download, and reconciliation.

UTGST — Union Territory Goods and Services Tax. The tax in UTs without a legislature.

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